Chapter 1

# Introducing Financial Accounting

**Learning Objectives** *identify the key learning goals of the chapter.*

## LEARNING OBJECTIVES

**LO1-1** Identify the users of accounting information and discuss the costs and benefits of disclosure.

**LO1-2** Describe a company's business activities and explain how these activities are represented by the accounting equation.

**LO1-3** Identify the four key financial statements: balance sheet, income statement, statement of stockholders' equity, and statement of cash flows.

**LO1-4** Describe how standardized accounting principles and a regulatory environment are important to financial statement integrity.

**LO1-5** Compute two key ratios that are commonly used to assess profitability and risk—return on equity and the debt-to-equity ratio.

**LO1-6** Appendix 1A: Explain the conceptual framework for financial reporting.

**Road Maps** *summarize each chapter's resources and categorize them by learning objective.*

**Assignments** *reinforce learning and can be completed by hand or within MBC.*

## Road Map

| LO | Learning Objective \| Topics | Page | eLecture | Review | Assignments |
|---|---|---|---|---|---|
| LO1-1 | Identify the users of accounting information and discuss the costs and benefits of disclosure. | 1-3 | e1-1 | R1–1 | M1-25, E1-28, E1-34, C1-49, C1-50, DA1-1 |
| LO1-2 | Describe a company's business activities and explain how these activities are represented by the accounting equation. | 1-7 | e1-2 | R1–2 | M1-19, M1-20, M1-21, E1-27, E1-29, E1-32, E1-33, P1-36, P1-37, P1-38, P1-43, C1-47 |
| LO1-3 | Identify the four key financial statements: balance sheet, income statement, statement of stockholders' equity, and statement of cash flows. | 1-11 | e1-3 | R1–3 | M1-22, M1-23, M1-24, E1-29, E1-30, E1-31, P1-37, P1-38, P1-39,P1-40, P1-41, P1-42, P1-43, P1-44, P1-45, C1-46, C1-47, C1-49 |
| LO1-4 | Describe how standardized accounting principles and a regulatory environment are important to financial statement integrity. | 1-16 | e1-4 | R1–4 | M1-26, E1-34, C1-50, DA1-3 |
| LO1-5 | Compute two key ratios that are commonly used to assess profitability and risk—return on equity and the debt-to-equity ratio. | 1-21 | e1-5 | R1–5 | E1-32, E1-33, P1-36, P1-43, P1-44, P1-45, C1-46, C1-47, C1-48, C1-49, DA1-2 |
| LO1-6 | Appendix 1A: Explain the conceptual framework for financial reporting. | 1-25 | e1-6 | R1–6 | E1-35 |

**Learning Objectives** *identify the key learning goals of the chapter.*

**eLectures** *are videos available in MBC that provide 3-5 minute reviews of each learning objective.*

**Reviews** *follow each learning objective and require students to apply what they have just learned.* **Guided Example** *videos accompany the Reviews and demonstrate how to solve various types of problems. Reviews are also assignable in MBC.*

**Data Analysis (DA)** *exercises using Excel and Tableau are identified with blue font. Exercises are assignable in MBC.*



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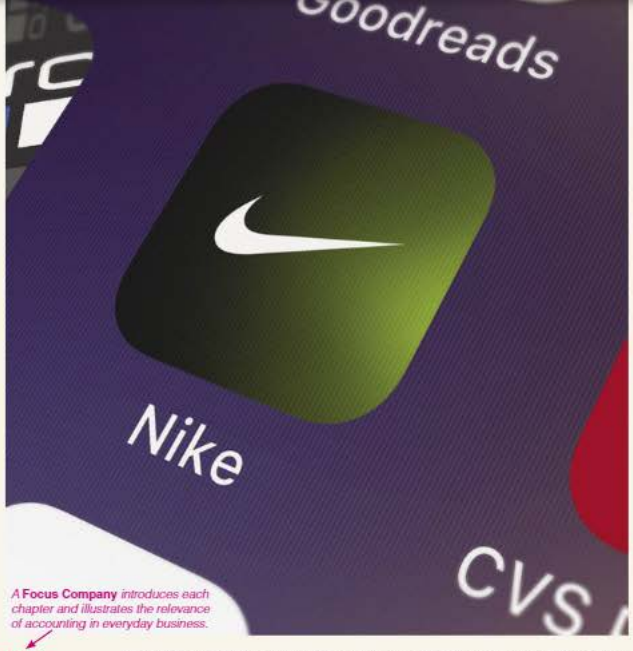


*A* **Focus Company** *introduces each chapter and illustrates the relevance of accounting in everyday business.*

**NIKE**
www.Nike.com

Phil Knight majored in accounting and was a member of the track team at the University of Oregon. A few years after graduation, Knight teamed up with his former track coach, Bill Bowerman, to form a business called Blue Ribbon Sports to import, sell, and distribute running shoes from Japan. Blue Ribbon Sports, or BRS as it came to be known, was started on a shoestring—Knight and Bowerman each contributed $500 to start the business. A few years later, BRS introduced its own line of running shoes called Nike. It also unveiled a new logo, the now familiar Nike swoosh. Following the overwhelming success of the Nike shoe line, BRS officially changed its company name to Nike, Inc. Currently, the company is worth more than $120 billion. Knight is the former CEO and the Chairman, Emeritus of Nike, Inc.

Today, Nike, Inc. has sales in almost every country on the planet and, in the fiscal year ended May, 2021, Nike had total revenues of more than $37 billion and income of $2.5 billion. How does someone take a $1,000 investment and turn it into a company whose stock is worth more than $120 billion? Along the way, Nike management made countless decisions that ultimately led the company to where it is today. Each of these decisions involved identifying alternative courses of action and weighing their costs, benefits, and risks in light of the available information.

Accounting is the process of identifying, measuring, and communicating financial information to help people make *economic* decisions. People use accounting information to facilitate a wide variety of transactions, including assessing whether, and on what terms, they should invest in a firm, seek employment in a business, or continue purchasing its products. Accounting information is crucial to any successful business, and without it, most businesses would not even exist.

This book explains how to create and analyze financial statements, an important source of accounting information prepared by companies to communicate with a variety of users. We begin by introducing transactions between the firm and its investors, creditors, suppliers, employees, and customers. We continue by demonstrating how accounting principles are applied to these transactions to create the financial statements. Then we "invert" the process and learn how to analyze the firm's financial statements to assess the firm's underlying economic performance. Our philosophy is simple—we believe it is crucial to have a deep understanding of financial accounting to become critical readers and users of financial statements. Financial statements tell a story—a business story. Our goal is to understand that story and apply the knowledge gleaned from financial statements to make good business decisions.

Sources: Nike.com; Nike, Inc. 10-K Report for the year ended May 31, 2021; *Business Week* (October 2007, August 2009); *Portland Business Journal* (October 2007); *Fortune* (February 2012). For more on Phil Knight and Nike's history, see the book *Shoe Dog* (published by Scribner).

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## CHAPTER ORGANIZATION

*Chapter Organization Charts visually depict the key topics and their sequence within the chapter.*

**Introducing Financial Accounting**

| Demand for Accounting Information | Business Activities | Financial Statements | Financial Reporting Environment | Financial Statement Analysis |
|---|---|---|---|---|
| • Who Uses Financial Accounting Information?<br>• Costs and Benefits of Disclosure | • Planning Activities<br>• Investing Activities<br>• Financing Activities<br>• Operating Activities | • Balance Sheet<br>• Income Statement<br>• Statement of Stockholders' Equity<br>• Statement of Cash Flows<br>• Financial Statement Linkages | • Generally Accepted Accounting Principles<br>• Regulation and Oversight<br>• Role of the Auditor<br>• A Global Perspective<br>• Conceptual Framework (Appendix 1A) | • Profitability Analysis<br>• Credit Risk Analysis |

## DEMAND FOR ACCOUNTING INFORMATION

**LO1-1** Identify the users of accounting information and discuss the costs and benefits of disclosure.

eLecture ArgC

*eLecture icons identify topics for which there are instructional videos in* **myBusinessCourse** *(MBC). See the Preface for more information on MBC.*

**Accounting** can be defined as the process of recording, summarizing, and analyzing financial transactions. While accounting information attempts to satisfy the needs of a diverse set of users, the accounting information a company produces can be classified into two categories (see **Exhibit 1.1**):[1]

- **Financial accounting**—designed primarily for decision-makers outside of the company
- **Managerial accounting**—designed primarily for decision-makers within the company

**EXHIBIT 1.1** Information Needs of Decision-makers Who Use Financial and Managerial Accounting

| | Decision-Makers | Decisions | Information |
|---|---|---|---|
| Financial Accounting | • Investors and analysts<br>• Creditors<br>• Suppliers and customers | • Buy or sell stock?<br>• Lend or not?<br>• Purchase/sell goods or not? | • Sales and costs<br>• Cash in and out<br>• Assets and liabilities |
| Managerial Accounting | • Top management<br>• Marketing teams<br>• Production and operations | • Develop new strategy?<br>• Launch a new product or not?<br>• Manage operations | • Product sales and costs<br>• Department performance reports<br>• Budgets and quality reports |

Financial accounting reports include information about company profitability and financial health. This information is useful to various economic actors who wish to engage in contracts with the firm, including investors, creditors, employees, customers, and governments. Managerial accounting information is not reported outside of the company because it includes proprietary information about the profitability of specific products, divisions, or customers. Company managers use managerial accounting reports to make decisions such as whether to drop or add products or divisions, or whether to continue serving different types of customers. This text focuses on understanding and analyzing financial accounting information.

[1] Businesses also have to compute a measure of income for income tax purposes in order to file tax returns in the jurisdictions that require them to file. This book is not about taxation, but we cover the accounting for income taxes in Chapter 10.

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### Who Uses Financial Accounting Information?

Demand for financial accounting information derives from numerous users including:

- Shareholders and potential shareholders
- Creditors and suppliers
- Managers and directors
- Financial analysts
- Other users

*FYI features provide additional information that complements the text.*

**FYI** Shareholders of a corporation are its owners; although managers can own stock in the corporation, most shareholders are not managers.

**Shareholders and Potential Shareholders** Corporations are the dominant form of business organization for large companies around the world, and corporate shareholders are one important group of decision-makers that have an interest in financial accounting information. A **corporation** is a form of business organization that is characterized by a large number of owners who are not involved in managing the day-to-day operations of the company.[2] A corporation exists as a legal entity that issues **shares of stock** to its owners in exchange for cash; therefore, the owners of a corporation are referred to as *shareholders* or **stockholders**.

Because the shareholders are not involved in the day-to-day operations of the business, they rely on the information in financial statements to evaluate management performance and assess the company's financial condition.

In addition to corporations, sole proprietorships, partnerships, and limited liability companies are common forms of business ownership. A **sole proprietorship** has a single owner who typically manages the daily operations. Small family-run businesses, such as corner grocery stores, are commonly organized as sole proprietorships. A **partnership** has two or more owners who are also usually involved in managing the business. Many professionals, such as lawyers and CPAs, organize their businesses as partnerships. Many new businesses today start up as a limited liability company (LLC). An LLC allows for limited liability for the owners similar to a corporation, while allowing for more flexibility and other features that are similar to a partnership.

Most corporations begin as small, privately held businesses (sole proprietorships, partnerships, or an LLC). As their operations expand, however, they require additional capital to finance their growth. One of the principal advantages of a corporation over the other organizational forms of doing business is the ability to raise large amounts of cash by issuing (selling) stock. For example, as Nike grew from a small business with only two owners into a larger company, it raised the funds needed for expansion by selling shares of Nike stock to new shareholders. In the United States, large corporations can raise funds by issuing stock on organized exchanges, such as the **New York Stock Exchange (NYSE)** or **NASDAQ** (which is an acronym for the National Association of Securities Dealers Automated Quotations system). Corporations with stock that is traded on public exchanges are known as *publicly traded corporations* or simply *public corporations*. The raising of capital from a large group of outside shareholders leads to what is known as the separation of ownership and control. For example, as Nike sold more stock, the CEO (Knight) owned a smaller amount of the shares. In cases of such separation, which exists at most publicly traded firms, the information flow from the managers to the shareholders is very important.

Financial statements and the accompanying note disclosures provide information on the risk and return associated with owning shares of stock in the corporation, and they reveal how well management has performed. Financial statements also provide valuable insights into future performance by revealing management's plans for new products, new operating procedures, and new strategic directions for the company as well as for their implementation. Corporate management provides this information because the information reduces uncertainty about the company's future prospects which, in turn, increases the market price of its shares and helps the company raise the funds it needs to grow.

**Creditors and Suppliers** Few businesses rely solely on shareholders for the cash needed to operate the company. Instead, most companies borrow from banks or other lenders known as **creditors**. Creditors are interested in the potential borrower's ability to repay. They use financial

**FYI** Financial statements are typically required when a business requests a bank loan. (If the business is very small, then tax returns will often suffice).

[2] Most countries have business forms that are similar in structure to those of a U.S. corporation, though they are referred to by different names. For example, while firms that are incorporated in the United States have the extension "Inc." appended to their names, similar firms in the United Kingdom are referred to as a Public Limited Company, which has the extension "PLC."

*Key Terms are highlighted in bold, red font.*

accounting information to help determine loan terms, loan amounts, interest rates, and collateral. In addition, creditors' loans often include contractual requirements based on information found in the financial statements.

**Suppliers** use financial information to establish credit sales terms and to determine their long-term commitment to supply-chain relationships. Supplier companies often justify an expansion of *their* businesses based on the growth and financial health of their customers. Both creditors and suppliers rely on information in the financial statements to monitor and adjust their contracts and commitments with a company.

**Managers and Directors** Financial statements can be thought of as a financial report card for management. A well-managed company earns a good return for its shareholders, and this is reflected in the financial statements. In most companies, management is compensated, at least in part, based on the financial performance of the company. That is, managers often receive cash bonuses, shares of stock, or other *incentive compensation* that is linked directly to the information in the financial statements.

**FYI** The Sarbanes-Oxley Act requires issuers of securities to disclose whether they have a code of ethics for the senior officers.

Publicly traded corporations are required by law to have a **board of directors**. Directors are elected by the shareholders to represent shareholder interests and oversee management. The board hires executive management and regularly reviews company operations. Directors use financial accounting information to review the results of operations, evaluate future strategy, and assess management performance.

Both managers and directors use the published financial statements of *other companies* to perform comparative analyses and establish performance benchmarks. For example, managers in some companies are paid a bonus for financial performance that exceeds the industry average.

**BUSINESS INSIGHT**

Court cases involving corporations such as Enron, Tyco, and WorldCom (now MCI) have found executives, including several CEOs, guilty of issuing fraudulent financial statements. These executives have received substantial fines and, in some cases, long jail sentences. These trials have resulted in widespread loss of reputation and credibility among corporate boards.

**Financial Analysts** Many decision-makers lack the time, resources, or expertise to efficiently and effectively analyze financial statements. Instead, they rely on professional financial analysts, such as credit rating agencies like Moody's investment services, portfolio managers, and security analysts. Financial analysts play an important role in the dissemination of financial information and often specialize in specific industries. Their analysis helps to identify and assess risk, forecast performance, establish prices for new issues of stock, and make buy-or-sell recommendations to investors.

**Other Users of Financial Accounting Information** External decision-makers include many users of accounting information in addition to those listed above. For example, ***prospective employees*** often examine the financial statements of an employer to learn about the company before interviewing for or accepting a new job.

***Labor unions*** examine financial statements in order to assess the financial health of firms prior to negotiating labor contracts on behalf of the firms' employees. ***Customers*** use accounting information to assess the ability of a company to deliver products or services and to assess the company's long-term reliability.

***Government agencies*** rely on accounting information to develop and enforce regulations, including public protection, price setting, import-export, taxation, and various other policies.[3] Timely and reliable information is crucial to effective regulatory policy. Moreover, accounting information is often used to assess penalties for companies that violate regulations.

[3] A company's tax returns are distinctly different from its financial statements. Tax returns are prepared for tax authorities in order to comply with income tax rules. The financial statements are prepared to provide information to investors, creditors, and other decision-makers outside of the business.



## Costs and Benefits of Disclosure

The act of providing financial information to external users is called **disclosure**. As with every decision, the benefits of disclosure must be weighed against the costs of providing the information.

One reason companies are motivated to disclose financial information to external decision-makers is that it often lowers financing and operating costs. For example, when a company applies for a loan, the bank uses the company's financial statements to help determine the appropriate interest rate. Without adequate financial disclosures in its financial statements, the bank is likely to demand a higher interest rate or perhaps not make the loan at all. Thus, in this setting, a benefit of financial disclosure is that it reduces the company's cost of borrowing.

While there are benefits from disclosing financial information, there are also costs. Besides the obvious cost of hiring accountants and preparing the financial statements, financial disclosures can also result in costs being imposed by competitors. It is common practice for managers to scrutinize the financial statements of competitors to learn about successful products, new strategies, innovative technologies, and changing market conditions. Thus, disclosing too much information can place a company at a competitive disadvantage. Disclosure can also raise investors' expectations about a company's future profitability. If those expectations are not met, they may bring litigation against the managers.

There are also political costs that are potentially associated with accounting disclosure. Highly visible companies, such as defense contractors and oil companies, are often the target of scrutiny by the public and by government officials. When these companies report unusually large accounting profits, they are often the target of additional regulation or increased taxes.

Stock market regulators impose disclosure standards for publicly traded corporations, but the nature and extent of the required disclosures vary substantially across countries. Further, because the requirements only set the minimum level of disclosure, the quantity and quality of information provided by firms will vary. This variation in disclosure ultimately reflects differences among companies in the benefits and costs of disclosing information to the public.

*You Make The Call requires you to assume various roles within a business and use your accounting knowledge to address an issue. Solutions are at the end of the chapter.*

**YOU MAKE THE CALL**

**You are a Product Manager** There is often friction between investors' needs for information and a company's desire to safeguard competitive advantages. Assume that you are the product manager for a key department at your company and you are asked for advice on the extent of information to disclose in the annual report on a potentially lucrative new product that your department has test marketed. What considerations affect the advice you provide and why? [Answer on page 1-29]

*Review Problems are self-study tools that require the application of accounting. To aid learning, solutions are provided at the end of the chapter.*

**Identifying How Financial Statements Are Utilized by Different User Groups** LO1-1 **Review 1-1**

For each accounting information user group (1 through 6), determine how it would utilize the financial statements of Macy's Inc., by selecting the relevant task from *a* to *f*.

| Accounting Information User Group | Task Aided by Financial Statements |
|---|---|
| 1. ____ Shareholders | *a.* To assign a rating to Macy's debt, which indicates the chance of default. |
| 2. ____ Creditors | *b.* To determine whether to lend money to Macy's over a 10-year period. |
| 3. ____ Suppliers | *c.* To estimate your year-end bonus based on Macy's financial results. |
| 4. ____ Managers | *d.* To verify the amount of sales taxes due from Macy's Inc. |
| 5. ____ Financial analysts | *e.* To aid in the decision of whether to buy additional shares of Macy's stock. |
| 6. ____ Government agencies | *f.* As input in a decision to contractually sell a specified quantity of items at a set price to Macy's over the next two years. |

*Guided Example icons denote the availability of a demonstration video in myBusinessCourse (MBC)—see the Preface for more on MBC.*

Solution on p. 1-39.

# BUSINESS ACTIVITIES

**LO1-2** Describe a company's business activities and explain how these activities are represented by the accounting equation.

Businesses produce accounting information to help develop strategies, attract financing, evaluate investment opportunities, manage operations, and measure performance. Before we can attempt to understand the information provided in financial statements, we must understand these business activities. That is, what does a business actually do? For example:

- Where does a company such as Nike find the resources to develop new products and open new retail stores?
- What new products should Nike bring to market?
- How much should Nike spend on product development? On advertising? On executive compensation?
- How does Nike's management determine if a product is a success?

Questions such as these define the activities of Nike and other companies.

**Exhibit 1.2** illustrates the activities of a typical business. All businesses *plan* business activities, *finance* those activities, *invest* resources in those activities, and then engage in *operating* activities. Companies conduct all these activities while confronting a variety of *external forces,* including competition from other businesses, government regulation, economic conditions and market forces, and changing preferences of customers. The financial statements provide information that helps us understand and evaluate each of these activities.

**EXHIBIT 1.2 Business Activities**

## Planning Activities

A company's goals, and the strategies adopted to reach those goals, are the product of its **planning activities**. Nike, for example, states that its mission is "To bring inspiration and innovation to every athlete in the world," adding "If you have a body, you are an athlete." However, in its 2020 annual report to shareholders, for the year ended May 2020, Nike management suggests another goal that focuses on financial success and earning a return for the shareholders.

*Excerpts from recent financial statements are used to illustrate and reinforce concepts.*

> Our goal is to deliver value to our shareholders by building a profitable global portfolio of branded footwear, apparel, equipment, and accessories businesses. Our strategy is to achieve long-term revenue growth by creating innovative, "must have" products, building deep personal consumer connections with our brands, and delivering compelling consumer experiences through digital platforms and at retail.

As is the case with most businesses, Nike's primary goal is to create value for its owners, the shareholders. How the company plans to do so is the company's **strategy**.



A company's *strategic* (or *business*) *plan* describes how it plans to achieve its goals. The plan's success depends on an effective review of market conditions. Specifically, the company must assess both the demand for its products and services, and the supply of its inputs (both labor and capital). The plan must also include competitive analyses, opportunity assessments, and consideration of business threats. The strategic plan specifies both broad management designs that generate company value and tactics to achieve those designs.

Most information in a strategic plan is proprietary and guarded closely by management. However, outsiders can gain insight into planning activities through various channels, including newspapers, magazines, and company disclosures. Understanding a company's planning activities helps focus accounting analysis and place it in context.

## Investing Activities

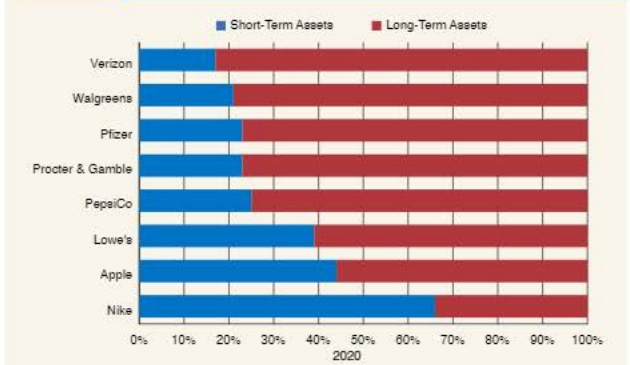
**Investing activities** consist of acquiring and disposing of the resources needed to produce and sell a company's products and services. These resources, called **assets**, provide future benefits to the company. Companies differ on the amount and mix of these resources. Some companies require buildings and equipment, while others have abandoned "bricks and mortar" to conduct business through the Internet.

Some assets that a company invests in are used quickly. For instance, a retail clothing store hopes to sell its spring and summer merchandise before purchasing more inventory for the fall and winter. Other assets are acquired for long-term use. Buildings are typically used for several decades. The relative proportion of short-term and long-term investments depends on the type of business and the strategic plan that the company adopts. For example, Nike has relatively few long-term assets because it outsources most of the production of its products to other companies.

The chart in **Exhibit 1.3** compares the relative proportion of short-term and long-term assets held by Nike and seven other companies, several of which are featured in later chapters. Nike has adopted a business model that requires very little investment in long-term resources. A majority of its investments are short-term assets. In contrast, **Verizon**, **PepsiCo**, and **Procter & Gamble** all rely heavily on long-term investments. These companies hold relatively small proportions of short-term assets. This mix of long-term and short-term assets is described in more detail in Chapter 2.

*Real Companies and Institutions are highlighted in bold, blue font.*

**EXHIBIT 1.3 Relative Proportion of Short-Term and Long-Term Assets***




*These companies do not have identical fiscal year-ends. For each fiscal year listed (here and in the exhibits that follow), balance sheets are dated from January 31 to December 31 of that year. For example, Nike's fiscal year-end is May 31, 2020 while PepsiCo's fiscal year-end is December 26, 2020.

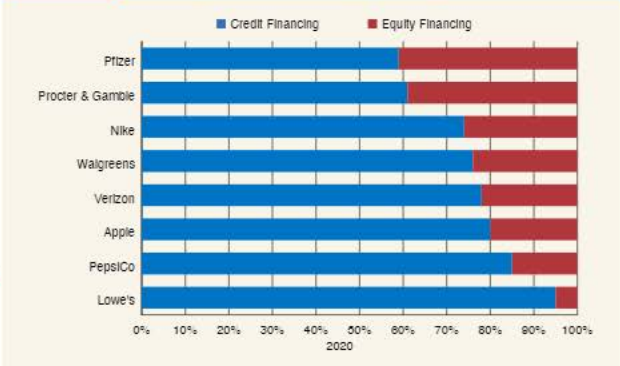
## Financing Activities

Investments in resources require funding, and **financing activities** refer to the methods companies use to fund those investments. *Financial management* is the planning of resource needs, including the proper mix of financing sources.

Companies obtain financing from two sources: equity (owner) financing and creditor (nonowner) financing. *Equity financing* refers to the funds contributed to the company by its owners along with any income retained by the company. One form of equity financing is the cash raised from the sale (or issuance) of stock by a corporation. *Creditor* (or debt) *financing* is funds contributed by nonowners, which create *liabilities*. **Liabilities** are obligations the company must repay in the future. One example of a liability is a bank loan. We draw a distinction between equity and creditor financing for an important reason: creditor financing imposes a legal obligation to repay, usually with interest, and failure to repay amounts borrowed can result in adverse legal consequences such as bankruptcy. In contrast, equity financing does not impose an obligation for repayment.

**Exhibit 1.4** compares the relative proportion of creditor and equity financing for Nike and other companies. PepsiCo uses liabilities to finance 85% of its resources. In contrast, **Walgreens Boots Alliance, Inc.** (Walgreens), relies more heavily on its equity financing, receiving 76% of its financing from creditors. **Pfizer** has the lowest proportion of creditor financing in this sample of companies, with just 59% of its assets financed by nonowners.

**EXHIBIT 1.4 Relative Proportion of Credit and Equity Financing**




*Infographics are used to convey difficult concepts and procedures.*

As discussed in the previous section, companies acquire resources, called assets, through investing activities. The cash to acquire these resources is obtained through financing activities, which consist of owner financing, called equity, and creditor financing, called liabilities (or debt). Thus, we have the following basic relationship: *investing equals financing*. This equality is called the **accounting equation**, which is expressed as:

| Investing | = | Financing | + | Owner Financing |
|---|---|---|---|---|
| **Assets** | = | **Liabilities** | + | **Equity** |

At fiscal year-end 2020, the accounting equation for Nike was as follows ($ millions):

$$\$31{,}342 = \$23{,}287 + \$8{,}055$$



By definition, the accounting equation holds for all companies at all times. This relationship is a very powerful tool for analyzing and understanding companies, and we will use it often throughout the text.[4]

## Operating Activities

**Operating activities** refer to the production, promotion, and selling of a company's products and services. These activities extend from a company's input markets, involving its suppliers, and to its output markets, involving its customers. Input markets generate *operating expenses* (or *costs*) such as inventory, salaries, materials, and logistics. Output markets generate *operating revenues* (or *sales*) from customers. Output markets also generate some operating expenses such as for marketing and distributing products and services to customers. When operating revenues exceed operating expenses, companies report *operating income*, also called *operating profit* or *operating earnings*. When operating expenses exceed operating revenues, companies report operating losses.

**Revenue** is the increase in equity resulting from the sale of goods and services to customers. The amount of revenue is determined *before* deducting expenses. An **expense** is the cost incurred to generate revenue, including the cost of the goods and services sold to customers as well as the cost of carrying out other business activities. **Income**, also called *net income*, equals revenues minus expenses and is the net increase in equity from the company's activities.

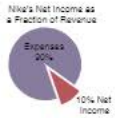
**Income** = **Revenues** − **Expenses**

For fiscal year 2020, Nike reported revenues of over $37 billion, yet its reported income was a fraction of that amount—just over $2.5 billion.

*Business Insights offer recent examples from the business news and popular press.*

**BUSINESS INSIGHT**

Each year, *Fortune* magazine ranks the 500 largest corporations in the United States based on total revenues. For 2021, which is based on fiscal 2020 financial results, Nike ranked 85th on the *Fortune 500* list with revenues of over $37 billion. The company also ranked 74th in profits, with net income of approximately $2.5 billion. For comparison, the largest corporation was **Walmart, Inc.**, with revenues of more than $559 billion and $13.5 billion in net income (ranking number 14 in terms of profit). (Source: http://fortune.com/fortune500/list)




**Applying the Accounting Equation and Computing Financing Proportions** LO1-2 **Review 1-2**

Determine the missing amounts for each year below for Delta Air Lines, Inc., including the percentage of financing provided by owners and creditors.

| ($ millions) | Assets | Liabilities | Equity | % of Financing Provided by Owners | % of Financing Provided by Creditors |
|---|---|---|---|---|---|
| 2019 ..... | ? | $49,174 | $15,358 | ? | ? |
| 2018 ..... | $60,266 | ? | $13,687 | ? | ? |
| 2017 ..... | $53,671 | $41,141 | ? | ? | ? |

Solution on p. 1-40.

[4] There are securities that do not neatly fit into either "debt" or "equity" classification, but rather have characteristics of both. These are known as debt-equity hybrid securities. Their existence does not alter the conceptual idea that assets are financed with debt and equity. A detailed discussion of these is beyond the scope of this textbook, but we describe these briefly in the chapters on debt and equity. For most ratio analyses in this introductory-level textbook, we include all these types of securities as either debt or equity for the sake of simplicity.

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# FINANCIAL STATEMENTS

**LO1-3** Identify the four key financial statements: balance sheet, income statement, statement of stockholders' equity, and statement of cash flows.

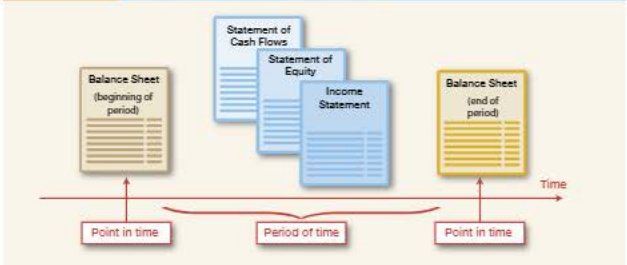
eLecture MBC

Four financial statements are used to periodically report on a company's business activities. These statements are:

- **balance sheet**, which lists the company's investments and sources of financing using the accounting equation;
- **income statement**, which reports the results of operations;
- **statement of stockholders' equity**, which details changes in owner financing;
- **statement of cash flows**, which details the sources and uses of cash.

**Exhibit 1.5** shows how these statements are linked across time. A balance sheet reports on a company's position at a point in time. The income statement, statement of stockholders' equity, and the statement of cash flows report on performance over a period of time. The three statements in the middle of **Exhibit 1.5** (period-of-time statements) link the balance sheet from the beginning of a period to the balance sheet at the end of a period. There is a fifth statement, a statement of comprehensive income, but it only comes into play for issues that arise in later chapters.

**EXHIBIT 1.5 Financial Statement Links Across Time**




**FYI** The heading of each financial statement includes who, what, and when.

A one-year, or annual, reporting period is common, which is called the *accounting*, or *fiscal year*. Semiannual, quarterly, and monthly reporting periods are also common. *Calendar-year* companies have a reporting period that begins on January 1 and ends on December 31. **Pfizer**, **Google**, and **Verizon** are examples of calendar-year companies. Some companies choose a fiscal year ending on a date other than December 31. Seasonal businesses, such as retail stores, often choose a fiscal year that ends when sales and inventories are at their lowest level. For example, **Home Depot**, the retail home improvement store chain, ends its fiscal year on the Sunday closest to February 1, after the busy holiday season. Nike has a May 31 fiscal year. The heading of each statement identifies the (1) company name, (2) statement title, and (3) date or time period of the statement.

## Balance Sheet

**FYI** The balance sheet is also known as the statement of financial position and the statement of financial condition.

A **balance sheet** reports a company's financial position at a point in time. It summarizes the result of the company's investing and financing activities by listing amounts for assets, liabilities, and equity. The balance sheet is based on the accounting equation, also called the *balance sheet equation*: Assets = Liabilities + Equity.

Nike's balance sheet for fiscal year 2020, which ended May 31, 2020, is reproduced in a reduced format in **Exhibit 1.6** and reports that assets are $31,342 million, liabilities are $23,287 million, and equity is $8,055 million, where owner financing is the sum of contributed capital of $8,302 million, retained earnings of $(191) million, a deficit, and other equity of $(56) million, a deficit. Thus, the balance sheet equation holds true for Nike's balance sheet: assets equal liabilities plus equity.

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**EXHIBIT 1.6 Balance Sheet ($ millions)**

| NIKE<br>Balance Sheet<br>May 31, 2020 | | |
|---|---|---|
| **Assets** | | Investing |
| Cash and equivalents | $ 8,348 | |
| Noncash assets | 22,994 | |
| Total assets | $31,342 | Total resources |
| **Liabilities and equity** | | Financing |
| Total liabilities | $23,287 | Creditor financing |
| Equity | | |
| Contributed capital | $ 8,302 | Owner financing |
| Retained earnings | (191) | |
| Other stockholders' equity* | (56) | |
| Total equity | 8,055 | |
| Total liabilities and stockholders' equity | $31,342 | |

Reports amounts at point in time

**Real financial data** *for focus companies illustrate key concepts of each chapter.*

**Annotations** *are used to aid learning.*

* Other stockholders' equity includes accumulated other comprehensive income. Other components of stockholders' equity are discussed in Chapter 11.

## Income Statement

The **income statement** reports the results of a company's operating activities over a period of time. It details amounts for revenues and expenses, and the difference between these two amounts is net income. Revenue is the increase in equity that results from selling goods or providing services to customers, and expense is the cost incurred to generate revenue. Net income is the increase in equity *after* subtracting expenses from revenues.

**FYI** The income statement is also known as a statement of income, statement of earnings, statement of operations, and statement of profit and loss.

An important difference between the income statement and the balance sheet is that the balance sheet presents the company's position at a *point in time*, for instance December 31, 2020, while the income statement presents a summary of activity over a *period of time*, such as January 1, 2020, through December 31, 2020. Because of this difference, the balance sheet reflects the cumulative history of a company's activities. The amounts listed in the balance sheet carry over from the end of one fiscal year to the beginning of the next fiscal year, while the amounts listed in the income statement do not carry over from one year to the next.

Refer to Nike's income statement for the fiscal year ended May 31, 2020, shown in reduced format as **Exhibit 1.7**. It reports that revenues = $37,403 million, expenses = $34,864 million, and net income = $2,539 million. Thus, revenues minus expenses equals net income for Nike.

For manufacturing and merchandising companies, the **cost of goods sold** is an important expense that is typically disclosed separately in the income statement immediately following revenues. It is also common to report a subtotal for gross profit (also called gross margin), which is revenues less the cost of goods sold. The company's remaining expenses are then reported below gross profit. Nike's income statement is presented in this reduced format in **Exhibit 1.8**.

**FYI** The term "gross" refers to an amount before subtractions, such as Gross Sales. An exception is made for the term Gross Profit (Gross Margin), defined as Sales less Cost of Goods Sold (Cost of Sales). When items are subtracted from a gross amount, the term "net" is generally used, as in the case of Net Sales (Gross Sales less returns and other items) or Net Income (Sales less all expenses).

**EXHIBIT 1.7 Income Statement ($ millions)**

| NIKE<br>Income Statement<br>For Year Ended May 31, 2020 | |
|---|---|
| Revenues | $37,403 |
| Expenses | 34,864 |
| Net income (or loss) | $ 2,539 |

Reports amounts over a period of time

Increase in equity from the sale of products and services to customers

Costs incurred to generate revenues

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**EXHIBIT 1.8** Income Statement with Gross Profit Subtotal ($ millions)

NIKE
Income Statement
For Year Ended May 31, 2020

| | |
|---|---|
| Revenues | $37,403 |
| – Cost of goods sold | 21,162 |
| = Gross profit | 16,241 |
| – Other expenses including income taxes | 13,702 |
| = Net income (or loss) | $ 2,539 |

Cost of products including materials, labor, and overhead

## Statement of Stockholders' Equity

The **statement of stockholders' equity**, or simply *statement of equity*, reports the changes in the equity accounts over a period of time. Nike's statement of stockholders' equity for fiscal year ended May 31, 2020, is shown in reduced format as **Exhibit 1.9**. During the year ended May 31, 2020, Nike's equity changed due to share issuance and income reinvestment. The exhibit details and classifies these changes into three categories:

- Contributed capital (includes common stock and additional paid-in capital)
- Retained earnings (includes cumulative net income or loss, and deducts dividends)
- Other stockholders' equity

**EXHIBIT 1.9** Statement of Stockholders' Equity ($ millions)

NIKE
Statement of Stockholders' Equity
For Year Ended May 31, 2020

Reports amounts over a period of time

| | Contributed Capital | Retained Earnings (Deficit) | Other Stockholders' Equity | Total Stockholders' Equity |
|---|---|---|---|---|
| **Balance, May 31, 2019** | **$7,166** | **$1,643** | **$ 231** | **$9,040** |
| Stock issuance | 165 | (9) | | 156 |
| Net income | | 2,539 | | 2,539 |
| Dividends | | (1,491) | | (1,491) |
| Other changes | 971 | (2,873) | (287) | (2,189) |
| **Balance, May 31, 2020** | **$8,302** | **$ (191)** | **$ (56)** | **$8,055** |

Beginning period amounts

Change in balances over a period

Ending period amounts

**FYI** Dividends are reported in the statement of equity, and not in the income statement.

Contributed capital represents the net amount received from issuing stock to shareholders (owners). **Retained earnings** (also called *earned capital*) represents the income the company has earned since its inception, minus the dividends it has paid out to shareholders. Thus, retained earnings equals the amount of income retained in the company. The change in retained earnings links consecutive balance sheets through the income statement. Nike's retained earnings decreased from $1,643 million on May 31, 2019, to $(191) million on May 31, 2020. This decrease is explained by net income of $2,539 million, less dividends of $1,491 million and other reductions of $2,882 million. The category titled "other changes" refers to changes in equity that are not recorded in income. This concept is discussed in Chapter 11.

## Statement of Cash Flows

**FYI** Cash is critical to operations because it is necessary for purchasing resources and paying bills.

The **statement of cash flows** reports net cash flows from operating, investing, and financing activities over a period of time. Nike's statement of cash flows for fiscal year ended May 31, 2020, is shown in a reduced format in **Exhibit 1.10**. The statement reports that the cash balance increased by $3,882 million during the fiscal year. Operating activities provided $2,485 million (a cash inflow), investing activities used $1,028 million (a cash outflow), and financing activities provided $2,491 million (a cash inflow). These changes increased Nike's ending balance of cash to $8,348 million.

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**EXHIBIT 1.10** Statement of Cash Flows ($ millions)

NIKE
Statement of Cash Flows
For Year Ended May 31, 2020

Reports amounts over a period of time

| | |
|---|---|
| Operating cash flows | $2,485 |
| Investing cash flows | (1,028) |
| Financing cash flows | 2,491 |
| Effect of exchange rate changes | (66) |
| Net increase (decrease) in cash | 3,882 |
| Cash, May 31, 2019 | 4,466 |
| Cash, May 31, 2020 | $8,348 |

Net cash flow from operating

Net cash flow from investing

Net cash flow from financing

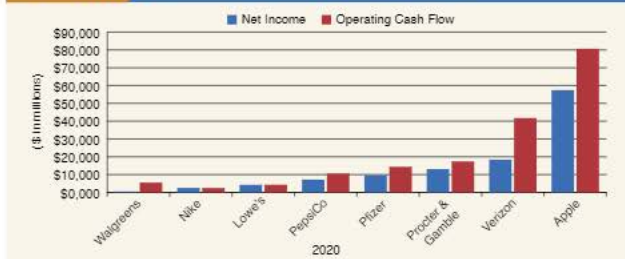
Cash amounts per balance sheet

**FYI** Common formatting for U.S. financial statements includes:
- Dollar sign next to first and last amount listed in a column
- Single underline before a subtraction or addition; double underline after a major total
- Assets listed in order of liquidity, which is nearness to cash
- Liabilities listed in order of due dates

Operating cash flow is the amount of cash generated from operating activities. This amount usually differs from net income due to differences between the time that revenues and expenses are recorded and the time that the related cash receipts and disbursements occur. For example, a company may report revenues for goods sold to customers this period, but not collect the payment until next period. Consistent with most companies, Nike's operating cash flows of $2,485 million do not equal its net income of $2,539 million. **Exhibit 1.11** compares net income and operating cash flows for Nike and several other companies. The exhibit shows that there is large variation across companies in the amount of net income and operating cash flows.

Both cash flow and net income are important for making business decisions. They each capture different aspects of firm performance and together help financial statement users better understand and assess a company's past, present, and future business activities.

**EXHIBIT 1.11** Comparison of Net Income to Operating Cash Flows




## Financial Statement Linkages

A central feature of the accounting system is the linkage among the four primary statements, referred to as the *articulation* of the financial statements. Three of the key linkages are:

- The statement of cash flows links the beginning and ending cash in the balance sheet.
- The income statement links the beginning and ending retained earnings in the statement of stockholders' equity.
- The statement of stockholders' equity links the beginning and ending equity in the balance sheet.

**Exhibit 1.12** demonstrates these links using Nike's financial statements from **Exhibits 1.6** through **1.10**. The left side of **Exhibit 1.12** presents Nike's beginning-year balance sheet for fiscal year 2020 (which is the same as the balance sheet for the end of fiscal year 2019), and the right side presents Nike's year-end balance sheet for fiscal year 2020. These balance sheets report Nike's investing and financing activities at the beginning and end of the fiscal year, two distinct points in

time. The middle column of **Exhibit 1.12** presents the three financial statements that report Nike's fiscal year 2020 business activities over time: the statement of cash flows, the income statement, and the statement of stockholders' equity. The three key linkages shown in **Exhibit 1.12** are:

- The statement of cash flows explains how operating, financing, and investing activities increased the cash balance by $3,882 million, from the $4,466 million reported in the beginning-year balance sheet, to the $8,348 million reported in the year-end balance sheet.
- The net income of $2,539 million reported in the income statement is added to retained earnings in the statement of stockholders' equity.
- The statement of stockholders' equity explains how total equity of $9,040 million, reported in the beginning-year balance sheet, becomes total equity of $8,055 million, reported in the year-end balance sheet.

**EXHIBIT 1.12 Articulation of Nike Financial Statements ($ millions)**

**Balance Sheet May 31, 2019**

| | |
|---|---|
| **Assets** | |
| Cash | $ 4,466 |
| Noncash assets | 19,251 |
| Total assets | $23,717 |
| **Liabilities and equity** | |
| Liabilities | $14,677 |
| Stockholders' equity | 9,040 |
| Total liabilities and equity | $23,717 |

**Statement of Cash Flows For Year Ended May 31, 2020**

| | |
|---|---|
| Operating cash flows | $ 2,485 |
| Investing cash flows | (1,028) |
| Financing cash flows | 2,491 |
| Exchange rate changes | (66) |
| Increase (decrease) in cash | 3,882 |
| Cash, May 31, 2019 | 4,466 |
| Cash, May 31, 2020 | $ 8,348 |

**Income Statement For Year Ended May 31, 2020**

| | |
|---|---|
| Revenues | $37,403 |
| Expenses | 34,864 |
| Net income | $ 2,539 |

**Statement of Stockholders' Equity For Year Ended May 31, 2020**

| | |
|---|---|
| Stockholders' equity, May 31, 2019 | $ 9,040 |
| Net income | 2,539 |
| Dividends | (1,491) |
| Stock issuances and other | (2,033) |
| Stockholders' equity May 31, 2020 | $ 8,055 |

**Balance Sheet May 31, 2020**

| | |
|---|---|
| **Assets** | |
| Cash | $ 8,348 |
| Noncash assets | 22,994 |
| Total assets | $31,342 |
| **Liabilities and equity** | |
| Liabilities | $23,287 |
| Stockholders' equity | 8,055 |
| Total liabilities and equity | $31,342 |

Point in time (Beginning of year) | Period of time (Fiscal year) | Point in time (End of year)

**FYI** An analysis of a firm's activities requires extensive study of its disclosure notes and the MD&A.

## Information Beyond Financial Statements

Important information about a company is communicated to various decision-makers through reports other than financial statements. These reports include the following:

- Management Discussion and Analysis (MD&A)
- Independent Auditor Report
- Financial statement disclosure notes



- Regulatory filings, including proxy statements and other SEC filings

We describe and explain the usefulness of these additional information sources throughout the book.

**Review Problems** *are self-study tools that require the application of accounting. To aid learning, solutions are provided at the end of the chapter.*

**Preparing Financial Statements** LO1-3 **Review 1-3**

Based in Germany, **Adidas** is one of **Nike**'s primary competitors. It markets athletic shoes and apparel under the Adidas and Reebok brands. It also sells Solomon ski equipment as well as TaylorMade golf equipment. Adidas's financial statements are reported in euros, the currency of the European Union. The statements are also prepared using International Financial Reporting Standards (IFRS). The following information is from the company's December 31, 2019, financial statements (€ millions):

| | 2019 |
|---|---|
| Cash and cash equivalents | € 2,220 |
| Cash flow from operations | 2,819 |
| Sales revenue | 23,640 |
| Stockholders' equity | 7,058 |
| Cost of goods sold | 11,347 |
| Cash flow used for financing | (2,273) |
| Total liabilities | 13,622 |
| Net other expenses | 10,316 |
| Noncash assets | 18,460 |
| Cash flow used for investing | (925) |
| Net income | 1,977 |
| Cash, beginning of year | 2,629 |
| Effect of exchange rates on cash | (30) |

**Guided Example** *icons denote the availability of a demonstration video in* **myBusinessCourse** *(MBC)—see the Preface for more on MBC.*

**Required**

*a.* Prepare Adidas's balance sheet at December 31, 2019, and its income statement and statement of cash flows for the fiscal year ended December 31, 2019.

*b.* Compare Adidas's revenue, net income, and cash flow from operations to that of Nike (as reported in this chapter). Assume an exchange rate of €1.00 = $1.12.

**Solution on p. 1-40.**

## FINANCIAL REPORTING ENVIRONMENT

**LO1-4** Describe how standardized accounting principles and a regulatory environment are important to financial statement integrity.

Information presented in financial statements is of critical importance to external decision-makers. Financial statements affect the prices paid for equity securities, such as a company's common stock, and interest rates attached to debt. To the extent that financial performance and condition are accurately communicated to business decision-makers, debt and equity securities are more accurately priced. By extension, financial reporting plays a crucial role in efficient resource allocation within and across economies. Accounting information contributes to the efficient operation of securities markets, labor markets, commodity markets, and other markets.

To illustrate, imagine the consequences of a breakdown in the integrity of financial reporting. The Enron scandal provides a case in point. At the beginning of 2001, **Enron** was one of the more, if not the most, innovative and respected companies in the United States. With revenues of over $100 billion and total company value of over $60 billion, it was the fifth largest U.S. corporation based on market value. In October 2001, the company released its third quarter earnings report to the public. Although operating earnings were higher than in previous years, the income statement contained a $1 billion "special charge." Financial analysts began investigating the cause of this charge and discovered that it was linked to related-party transactions and questionable accounting practices. Once it became clear to the capital markets that Enron had not faithfully and accurately reported its financial condition and performance, people became unwilling to purchase its securities. The value of its debt and equity securities dropped precipitously, and the company was unable to obtain the cash needed for operating activities. By the end of 2001, Enron was bankrupt!

Unfortunately, the demise of Enron didn't deter all cases of fraud. For example, **Luckin Coffee**, a China-based company whose shares had been trading on the Nasdaq, agreed to pay $180 million in penalties to the Securities and Exchange Commission (a federal commission

**Learning Objectives** *are repeated at the start of the section covering that topic.*

described in the next section) in December 2020. The charges relate to a material overstatement of revenues and related expenses in order to falsely report a period of rapid growth. In another case, former executives of **FTE Networks** were charged with fraud by the Securities and Exchange Commission in July 2021. Among the charges were inflating revenue and keeping liabilities off of the balance sheet. These cases illustrate the importance of reliable financial reporting. Accountants recognize the importance of the information that they produce and, as a profession, they agree to follow a set of standards for the presentation of financial statements and the disclosure of related financial information. In the following paragraphs, we discuss these standards, or *principles*, as well as the institutional and regulatory environment in which accountants operate.

## Generally Accepted Accounting Principles

Decision-makers who rely on audited financial statements expect that all companies follow similar procedures in preparing their statements. In response to these expectations, U.S. accountants have developed a set of standards and procedures called **generally accepted accounting principles (GAAP)**. GAAP is not a set of immutable laws. Instead, it is a set of standards and accepted practices, based on underlying principles, that are designed to guide the preparation of the financial statements. GAAP is subject to change as conditions warrant. As a result, specific rules are altered or new practices are formulated to fit changes in underlying economic circumstances or business transactions.

Some people mistakenly assume that financial accounting is an exact discipline—that is, companies select the proper standard to account for a transaction and then follow the rules. The reality is that GAAP allows companies considerable discretion in preparing financial statements. The choice of methods often yields financial statements that are markedly different from one company to another in terms of reported income, assets, liabilities, and equity amounts. In addition, financial statements depend on numerous estimates. Consequently, even though two companies may engage in the same transactions and choose the same accounting methods, their financial statements will differ because their managements have made different estimates about such things as the amount to be collected from customers who buy on credit, the length of time that buildings and equipment will be in use, and the future costs for product warranties.

Accounting standard setters walk a fine line regarding choice in accounting. On one hand, they are concerned that management discretion in preparing financial statements will lead to abuse by those seeking to influence the decisions of those who rely on the statements. On the other hand, they are concerned that companies are too diverse for a "one size fits all" financial accounting system. Ultimately, GAAP attempts to strike a balance by imposing constraints on the choice of accounting procedures, while allowing companies some flexibility within those constraints.

### YOU MAKE THE CALL

**You are a Financial Analyst** Accountants, business leaders, and politicians have long debated the importance of considering the **economic consequences** of accounting standards (GAAP). Should accounting standards be designed to influence behavior and affect social or economic change considered by, say, a government body or other interested group? Alternatively, should such standards be designed simply to provide relevant and reliable information on which economic decisions can be made by others with a reasonable degree of confidence? What do you believe the objectives of financial reporting should be? [Answers on page 1-29.]

## Regulation and Oversight

Following the U.S. stock market crash of 1929, the United States Congress passed the Securities Acts of 1933 and 1934. These acts were passed to require disclosure of financial and other information about securities being offered for public sale and to prohibit deceit, misrepresentations, and other fraud in the sale of securities. The 1934 Act created the **Securities and Exchange Commission (SEC)** and gave it broad powers to regulate the issuance and trading of securities. The act also provided that companies with more than $10 million in assets and whose securities are held by more than 500 owners must file annual and other periodic reports, including a complete set of financial statements.



While the SEC has ultimate authority over financial reporting by companies in the United States, it has ceded the task of setting accounting standards to a professional body, the **American Institute of Certified Public Accountants (AICPA)**. Over the years, this process has resulted in three standard-setting organizations.

Currently, accounting standards are established by the **Financial Accounting Standards Board (FASB)**. The FASB is a seven-member board that has the primary responsibility for setting financial accounting standards in the United States. In 2009, the FASB codified the standards into the FASB Accounting Standards Codification. This is now the single source of authoritative, nongovernmental U.S. GAAP.

### BUSINESS INSIGHT

**Accounting can be complicated—but rule-makers are trying to make it a little simpler.**
The Financial Accounting Standards Board, which sets accounting rules for U.S. companies, launched the FASB Simplification Initiative in 2014. The objective of the initiative is to make financial reporting a little less complex and reduce costs for companies and their accountants, while maintaining or improving the quality of information reported.

The projects are relatively narrow, straightforward changes in accounting that clearly would help reduce complexity and that the board expects to be able to make relatively quickly, without the years of work that often accompany major revisions in accounting rules.

"Complexity in accounting can be costly to both investors and companies," FASB Chairman Russ Golden said. The simplification initiative, which FASB began in June 2014, "is focused on identifying areas that we can address quickly and effectively, without compromising the quality of information provided to investors."

Besides setting standards for financial accounting, the FASB has developed a framework to form the basis for future discussion of proposed standards and serve as a guide to accountants for reporting information that is not governed by specific standards. A summary of this *Conceptual Framework* is presented in Appendix 1A later in this chapter.

In the wake of the Enron, Tyco, AOL, Global Crossing, Halliburton, Xerox, Adelphia, Bristol-Myers Squibb, and WorldCom scandals, concerns over the quality of corporate financial reporting led Congress to pass the **Sarbanes-Oxley Act** in 2002. The goal of this act—sometimes referred to as SOX—was to increase the level of confidence that external users, particularly investors, have in the financial statements. To accomplish this objective, SOX imposed a number of requirements to strengthen audit committees and improve deficient **internal controls** by:

- increasing management's responsibility for accounting information,
- increasing the independence of the auditors,
- increasing the accountability of the board of directors,
- establishing adequate internal controls (policies and operating processes designed to prevent fraud and protect company resources).

SOX requires that the chief executive officer (CEO) and the chief financial officer (CFO) of a publicly traded corporation personally sign a statement attesting to the accuracy and completeness of financial statements. The prospect of severe penalties is designed to make these managers more vigilant in monitoring the financial accounting process. In addition, SOX established the **Public Company Accounting Oversight Board (PCAOB)** to approve auditing standards and monitor the quality of financial statements and audits.

The Sarbanes-Oxley Act is not without critics. One criticism is that the penalties imposed on management for misstatements or errors are too severe. Some argue that managers have become less forthcoming in their disclosures and more conservative in choosing accounting methods and making accrual estimates to avoid the possibility of heavy fines or criminal charges.

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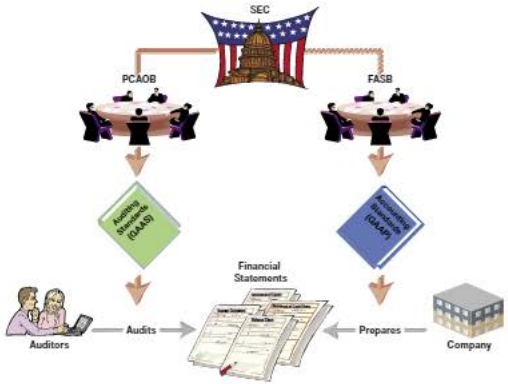


## Role of the Auditor

What prevents a company from disclosing false or misleading information? For one thing, the financial statements are prepared by management, and management must take responsibility for what is disclosed. Management's reputation can be severely damaged by false disclosures when subsequent events unfold to refute the information. This situation can adversely affect the firm's ability to compete in capital, labor, and consumer markets. It can also lead to litigation and even criminal charges against management.

Even though management must personally attest to the accuracy and completeness of the financial statements, markets also demand assurances from independent parties. Therefore, the financial statements of publicly traded corporations must be **audited** by an *independent audit firm*. The auditors provide an opinion as to whether the statements *present fairly* and *in all material respects* a company's financial condition and the results of its operations.

The audit opinion is not a guarantee. Auditors only provide reasonable assurance that the financial statements are free of material misstatements. Even so, auditors provide a valuable service. Auditors effectively ensure that the information contained in the financial statements is reliable, thus increasing the confidence of outside decision-makers in the information they use to make investment, credit, and other decisions. Therefore, creditors and shareholders of privately held corporations often demand that the financial statements be audited as well.

Public corporations are required to establish audit committees whose purpose is not to audit but, rather, to appoint the audit firm and ensure that what is learned in the audit is disclosed to the firm's directors and shareholders.

### YOU MAKE THE CALL

**You are a Member of the Board of Directors** Until recently accounting firms were permitted to earn money for consulting activities performed for clients they audited. Do you see any reason why this might not be an acceptable practice? Do you see any advantage to your firm from allowing such activity? [Answer on page 1-30.]

## A Global Perspective

Businesses increasingly operate in global markets. Consumers and businesses with access to the Internet can purchase products and services from anywhere in the world. Products produced in

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one country are often made with parts and materials imported from many different countries. Businesses outsource parts of operations to other countries to take advantage of better labor markets in those countries. Capital markets are global as well. Corporations whose securities trade on the New York Stock Exchange may also trade on exchanges in London, Toronto, Tokyo, or Hong Kong.

The globalization of capital markets, combined with the diversity of international accounting principles, led to an effort to increase comparability of financial information across countries. The **International Accounting Standards Board (IASB)** oversees the development of accounting standards outside the United States. Over 100 countries, including those in the European Union, require the use of **International Financial Reporting Standards (IFRS)** developed by the IASB.[3] The intention is to unify all public companies under one global set of reporting standards. The remaining major capital markets without an IFRS mandate are the U.S. (with no current plans to adopt), Japan (where voluntary adoption is permitted), and China (where standards are substantially converged and the country has plans to adopt).

Financial statements prepared under IFRS and U.S. GAAP are quite similar, yet important differences remain. For example, balance sheets prepared under IFRS often classify assets in reverse order of liquidity to those prepared under GAAP. Thus, intangible assets are listed first and cash last on the balance sheet. Both approaches require the same basic set of four financial statements, with explanatory disclosure notes. We shall examine some of the more important differences under a Global Perspective heading as they arise in future chapters. Websites maintained by the larger accounting firms as well as both the FASB and IASB provide considerable information.

**Global Perspectives** *examine issues related to similarities and differences in accounting practices of the U.S. and other countries.*

### A GLOBAL PERSPECTIVE

Since 2007, the SEC allows foreign companies to report their financial results using international accounting standards rather than reconciling their financial statements to American rules. While this change made it easier for U.S. investors to purchase securities from around the world, a *New York Times* article referred to a "Tower of Babel in Accounting." The article raises concerns about the difficulty of comparing companies when their financial statements are based on diverse reporting standards. The situation is complicated by the fact that a number of developing countries have reserved the right to adopt exceptions to IFRS when deemed appropriate.

**Identifying Roles in the Development and Regulation of Financial Reporting** LO1-4 **Review 1-4**

Match each of the following terms with the most appropriate explanation of its relationship to financial reporting.

Terms: (a) Auditor, (b) FASB, (c) GAAP, (d) Internal controls, (e) Management, (f) PCAOB, (g) SEC

1. ____ Set of authoritative standards and accepted practices that guide the preparation of financial statements in the U.S.
2. ____ Organization that has the ultimate authority over financial reporting.
3. ____ Currently codifies new accounting standards that guide financial reporting.
4. ____ Approves auditing standards and monitors audits of public companies that are required to report annual results.
5. ____ Takes responsibility for the accuracy and completeness of information disclosed in the financial statements.
6. ____ Provides an opinion on the fair presentation of a company's financial reporting.
7. ____ Helps ensure the accuracy of a company's financial reporting through a system of internal monitoring procedures and rules.

Solution on p. 1-40.

[3] Because it is international in its scope, the IASB has no legal authority to impose accounting standards on any country. Despite the push for comparability, not everyone is convinced that IFRS will improve the usefulness of accounting information. As one observer put it, "There is a real risk of a veneer of comparability that hides a lot of differences." A number of countries have reserved the right to adopt exceptions to IFRS when they deem them to be appropriate.

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# ANALYZING FINANCIAL STATEMENTS

*Each chapter includes a section on* **Analyzing Financial Statements** *to emphasize the use of accounting information in making business decisions.*

**LO1-5** Compute two key ratios that are commonly used to assess profitability and risk—return on equity and the debt-to-equity ratio.

eLecture 4RBC

The financial statements provide insights into the financial health and performance of a company. However, the accounting data presented in these statements are difficult to interpret in raw form. For example, knowing that Nike's net income was $2,539 million in the fiscal year ended May 2020 is, by itself, not very useful. Similarly, knowing the dollar amount of liabilities does not tell us whether or not Nike relies too heavily on creditor financing.

Financial analysts use a number of tools to help interpret the information found in the financial statements. They look at trends over time and compare one company to another. They calculate ratios using financial statement information to summarize the data in a form that is easier to interpret. Ratios also allow us to compare the performance and condition of different companies even if the companies being compared are dramatically different in size. Finally, ratios help analysts spot trends or changes in performance over time.

Throughout the book, we introduce ratios that are commonly used by financial analysts and other users who rely on the financial statements. Our goal is to develop an understanding of how to effectively use the information in the financial statements, as well as to demonstrate how these statements are prepared. In this chapter we introduce one important measure of **profitability** and one measure of financial **risk**.

## Profitability Analysis

Profitability reveals whether or not a company is able to bring its product or service to the market in an efficient manner and whether the market values that product or service. Companies that are consistently unprofitable are unlikely to succeed in the long run.

A key profitability metric for stockholders and other decision-makers is company return on equity. This metric compares the level of net income with the amount of equity financing used to generate that income.

## Analysis Objective

We are trying to determine Nike's ability to earn a return for its stockholders.

**Analysis Tool** Return on Equity

$$\text{Return on equity} = \frac{\text{Net income}}{\text{Average stockholders' equity}^*}$$

*The average is computed by adding the beginning and ending balances of stockholders' equity and dividing by two.

### Applying the Return on Equity Ratio to Nike

**Fiscal Year Ended May 31:**

**2018:** $\frac{\$1{,}933}{[(\$9{,}812 + \$12{,}407)/2]} = 0.174 \text{ or } 17.4\%$

**2019:** $\frac{\$4{,}029}{[(\$9{,}040 + \$9{,}812)/2]} = 0.427 \text{ or } 42.7\%$

**2020:** $\frac{\$2{,}539}{[(\$8{,}055 + \$9{,}040)/2]} = 0.297 \text{ or } 29.7\%$

**Guidance** Taken over time, ROE ratios that are over 10% and preferably increasing suggest the company is earning reasonable returns. For firms that are in more risky businesses, such as renewable power, even larger returns on equity would be appropriate, while firms in less risky endeavors, such as large food chains, would not be expected to generate as large returns.

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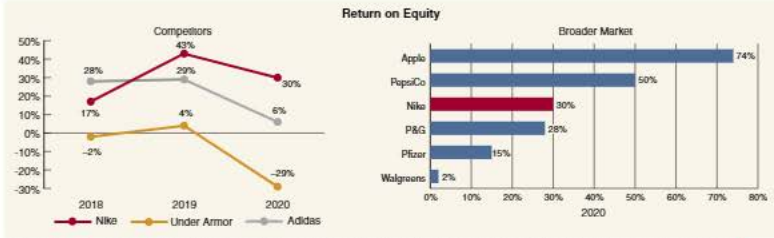
### Nike in Context




These companies do not have identical fiscal year-ends. For each fiscal year listed, balance sheets are dated from May 31 to December 31 of that year.

*Data visualizations are used throughout the text to convey financial information.*

**Takeaways** Over the time period covered by our calculations and by the chart, it is clear that Nike has done very well earning returns for its stockholders. Nike earned an ROE of over 42% for the year ended May 31, 2019 and almost 30% for the year ended May 31, 2020. These are exceptionally high ROE numbers and exceed the returns of its competitors, Adidas and Under Armor. Several new companies have entered the market, and Nike will need to continue developing new products to preserve its market leadership.

**Other Considerations** As with all ratios, care in their interpretation is essential. First, we need to be careful about comparing companies that operate in different product markets.

Second, regulation, such as applicable tax laws, can be different across countries and over time. In December of 2017 the U.S. enacted a new tax law known as the **Tax Cuts and Jobs Act (TCJA)**. (We discuss the TCJA in more detail in Chapter 10.) Many companies, including Nike, had to account for some of the provisions of the TCJA in the year that contained December 2017—for Nike this is the year that ended May 31, 2018. Nike's tax expense increased significantly, lowering net income. These one-time charges are part of the explanation of the lower ROE in 2018 computed above.[6]

Third, firms with different customer or supplier demographics can also produce different conclusions. Furthermore, different management policies toward assets and liabilities have their own unique effect on ratios across firms. For example, the conversion of inventories to sales can be subject to slowdowns that affect companies differently, within the same industry.

Fourth, these measures can be altered by management decisions designed solely for cosmetic effects such as improving current earnings or an important ratio. Thus, delaying inventory orders or filling sales orders early can lead to increasing net income and ROE in current periods to the detriment of future periods.

Finally, differences in the fiscal year-end of companies can influence a comparison of ROE ratios. If one company's fiscal year ends in May and another company's fiscal year ends in December, economic conditions may change between May and December, creating differences in ROE that are not due to differences in the operations of the two companies. For example, in 2020 the COVID-19 pandemic began to have an impact on businesses in March. The effect of the pandemic on a company's financial statements would depend on when the company's fiscal year ended. A company that had a fiscal year-end on June 30 might show a much different picture than a company with a December 31 fiscal year-end.

[6] The TCJA decreased the U.S. corporate statutory tax rate to 21% (from a graduated rate that topped out at 35%). However, the TCJA also required taxation of prior foreign earnings that many companies had not accrued U.S. tax on previously. This was the case for Nike, and it had to accrue a significant amount of U.S. tax (what Nike labels a transition tax in its report), leading to the higher tax expense for 2018. As a ballpark estimation, if we assume the same tax expense as in 2017 for Nike (and adjust earnings and equity accordingly), the ROE would have been 21.5% for 2018.

## Credit Risk Analysis

**FYI** Return cannot be evaluated without considering risk; the greater the risk of any decision, the greater the expected return.

In addition to measuring profitability, analysts also frequently analyze the level of risk associated with investing in or lending to a given company. The riskier an investment is, the greater the return demanded by investors. For example, a low-risk borrower is likely to be able to borrow money at a lower interest rate than would a high-risk borrower. Similarly, there is a risk-return trade-off in equity returns. Investments in risky stocks are expected to earn higher returns than investments in low-risk stocks, and stocks are priced accordingly. The higher expected rate of return is compensation for accepting greater uncertainty in returns.

Many factors contribute to the risk a company faces. One important factor is a company's *long-term solvency*. **Solvency** refers to the ability of a company to remain in business and avoid bankruptcy or financial distress. One such measure is the **debt-to-equity (D/E) ratio**.

## Analysis Objective

We are interested in determining the ability of a company to make the necessary interest and principal payments on its debt.

**Analysis Tool** Debt-to-Equity

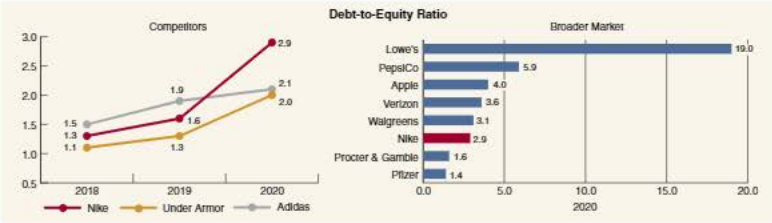
$$\text{Debt-to-equity ratio} = \frac{\text{Total liabilities}}{\text{Total stockholders' equity}}$$

**Applying the Debt-to-Equity Ratio to Nike**

| | | |
|---|---|---|
| **May 31, 2018:** | $\frac{\$12,724}{\$9,812}$ | = 1.30 |
| **May 31, 2019:** | $\frac{\$14,677}{\$9,040}$ | = 1.62 |
| **May 31, 2020:** | $\frac{\$23,287}{\$8,055}$ | = 2.89 |

**Guidance** Solvency is closely related to the extent a company relies on creditor financing. As the amount of creditor financing increases, the possibility of bankruptcy also increases. Short of bankruptcy, a company that has borrowed too much will occasionally find that the required interest payments are hurting the company's cash flow. The debt-to-equity ratio is an important measure used by analysts and others to assess a company's ability to make the necessary interest and principal payments on its debt.

**Nike in Context**




These companies do not have identical fiscal year-ends. For each fiscal year listed, balance sheets are dated from January 31 to December 31 of that year.

A debt-to equity ratio of one indicates that the company is using equal parts of debt and equity financing. Nike's debt-to-equity ratio has increased significantly since at least 2012, when it was 0.49.

The appropriate D/E ratio level depends on the nature of the business and will differ appreciably, as can be seen in the chart above. Typically, firms with large long-term commitments often reflected in fixed assets will find it appropriate to raise more capital through borrowing. The amount



of debt relative to equity will also mirror the risk tolerance of the firm's management. If management believes it can earn a return above the debt interest cost, borrowing will increase the expected return to the owners.

**Takeaways** Nike's D/E ratio has increased over the three years presented. Nike's liabilities have been steadily increasing. Yet, stockholders' equity has not increased at the same pace. Indeed, by 2020, Nike has a significantly higher D/E ratio than its closest competitors. As we will discuss in Chapter 5, the ROE ratio discussed earlier and the D/E ratio are closely related. Nike's high ROE, relative to its competitors, can be explained in part by its higher D/E ratio. By relying more on debt financing, Nike is leveraging its profitability resulting in a higher ROE.

**Other Considerations** Comparisons with other companies in similar lines of business, such as Under Armour and Adidas, are always appropriate. New competitors, such as Quiksilver, could also prove insightful to examine in regard to strategic decisions. In Chapter 9, we will explore the accounting for liabilities in more depth. Balance sheets do not always recognize all obligations of a firm, and a careful reader will examine the disclosure notes to get a more complete picture of financial health in such comparisons. Nike might also consider increasing its debt level if profitable opportunities exist. The company has been, and remains, very successful, but new entrants are emerging indicating there is additional business to be had.

The chart shows that Nike has a similar and somewhat relatively lower D/E ratio when compared to the other companies we show. Procter & Gamble and Pfizer have lower D/Es, but Apple and PepsiCo have higher D/Es. Lowe's D/E is considerably higher than all other comparison companies.

There are other measures of profitability and risk that will be introduced in later chapters. Collectively, these ratios, when placed in the context of the company's business activities, help to provide a clear picture of the *drivers* of a company's financial performance and the factors affecting its financial condition. Understanding these performance drivers and their impact on the financial health of a company is key to effectively using the information presented in the financial statements.

## Technology and Accounting

New technological innovations arise frequently, and they often increase the capabilities of businesses and make them more efficient. Recently, data analytics and blockchain technology have emerged as two prominent business-changing innovations. Many companies, including **Amazon** and **Google**, use data analysis throughout their organizations to make business decisions. **Data analytics** can broadly be defined as the process of examining large sets of data with the goal of discovering useful information from patterns found in the data. Business people employing data analytics can glean important insights from large data sets and identify opportunities for growth and operational efficiency. Data analysis has many applications, and you will encounter it in many disciplines beyond accounting.

Data Analytics

Blockchain was made famous as the underpinning technology used for digital currencies, such as **Bitcoin** and **Ethereum**. **Blockchain** is a distributed digital ledger that provides a secure means for approved parties to view recorded transactions. This technology has wide-ranging implications for business and is expected to greatly affect the way accountants perform audits.

Understanding what data analytics and blockchain technology are and how they are used is the first step toward developing marketable skills in each area, so we have included examples of each at various points in the book. Each chapter includes data analysis and data visualization assignments. In addition, **Appendix B** at the end of this book provides a more detailed discussion of data analytics.

# ORGANIZATION OF THE BOOK

In the pages that follow Chapter 1, we will explore the financial accounting model and how it reflects an organization's activities and events. Chapters 2 and 3 are focused on building the balance sheet and the income statement from transactions and a set of required adjustments. This process requires a structure for "bookkeeping" and an understanding of the basic rules of the accounting language. When do we recognize revenue? When do we recognize an asset? We will look at these questions in a relatively simple setting.

In Chapter 4, we will construct the statement of cash flows. The balance sheet, income statement, and statement of cash flows are all built on the same underlying set of information, and they are each designed to give a different perspective on what's going on in the company. Chapter 5 shows how managers and investors organize financial information using ratios and how managers and investors use those ratios to compare companies and to make forecasts of the future.

While the first five chapters build the financial statement structure and its interpretation, the latter seven chapters are more topical. Accounting is not a cut-and-dried process, and financial reports can be affected by a variety of management decisions. So these seven chapters explore more sophisticated settings and analyses. We will find that financial reports rely on management estimates of future events and that sometimes management has the freedom to choose accounting methods that affect income and assets. And, when accounting practices don't allow reporting discretion, management's choice of transactions can make financial reports look more favorable.

Becoming an effective user of financial information requires an understanding of how the financial reports fit together and a willingness to explore the disclosure notes material to look for useful information. As we progress through *Financial Accounting* together, we will show you how to become a sophisticated reader of financial reports by looking at real companies and real financial statement information.

## Review 1-5 LO1-5 — Computing Return on Equity and Debt-to-Equity Ratios

QuickExercise MBC

Adidas, a major competitor of Nike, markets athletic shoes and apparel under the Adidas and Reebok brands. It also sells Solomon ski equipment and TaylorMade golf equipment. The following information is from Adidas's 2019 financial statements (Adidas's financial statements are reported in Euros, the currency of the European Union):

| (millions) | Adidas |
|---|---|
| Net income (loss) (2019) | € 1,977 |
| Stockholders' equity (2019 year-end) | 7,058 |
| Stockholders' equity (2018 year-end) | 6,364 |
| Total liabilities (2019 year-end) | 13,622 |

**Required**

*a.* Calculate the 2019 return on equity (ROE) ratio for Adidas.

*b.* Calculate the 2019 debt-to-equity ratio for Adidas.

*c.* Compare the profitability and risk of Adidas to that of Nike. Note: In your analysis, compare FY 2020 statements of Nike (12 months ended May 31, 2020) to 2019 statements of Adidas (12 months ended December 31, 2019).

Solution on p. 1-41.

# APPENDIX 1A: Conceptual Framework for Financial Reporting

LO1-6 Explain the conceptual framework for financial reporting.

Review MBC

The Financial Accounting Standards Board (FASB) developed a conceptual framework for financial reporting which consists of a system of interrelated objectives that, if met, would help to identify desirable reporting standards. The FASB expects that the Board will most directly benefit from the conceptual framework by using the framework as a common foundation in the development of future standards. Both the IASB and the FASB issued new or amended conceptual frameworks in 2018. In addition, the FASB issued a new Chapter 8: *Notes to Financial Statements* (Statement of Financial Accounting Concepts No. 8). Chapter 8 is primarily about presentation and disclosure. FASB states that the intent is to aid the Board in identifying disclosures to be considered when setting disclosure requirements. The chapter is also intended to help the FASB improve its procedures and promote consistent decision making when determining disclosure requirements.

In this appendix, we focus on the objective for financial reporting as stated in the conceptual framework, as well as the characteristics of financial reporting that determine the degree of success in meeting that objective.

## Objective of Financial Reporting

The objective of financial reporting is ***to provide information that is useful to present and potential equity investors, as well as lenders and other creditors, in making decisions about providing resources to the entity.*** The objective suggests that the information that is presented in financial statements is produced to 1) help the firm raise financing by providing information to equity investors and creditors about the financial health and performance of the firm, and 2) provide ongoing information to those deciding whether to buy, sell, or hold equity and debt securities (including whether to settle loans and other types of credit). Information that is intended for investors and creditors may also be useful to other users of the financial statements.

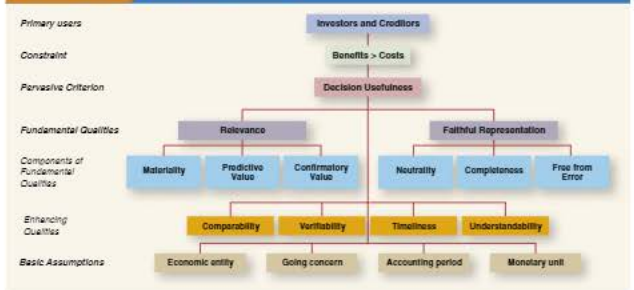


This objective may be met by providing information for the assessment of the amount, timing, and uncertainty of future (net) cash flows to the firm, which enables investors and creditors to assess the amount, timing, and uncertainty of the cash flows that they will receive. The objective of financial reporting is not to provide a value of a firm, but to provide information for users' own assessments of value.

## Qualitative Characteristics of Useful Financial Information

The conceptual framework identifies ***relevance*** and ***faithful representation*** as two fundamental qualitative characteristics of financial information that are necessary to fulfill the objective described in the previous section. As the conceptual framework states, "Neither a faithful representation of an irrelevant phenomenon, nor an unfaithful representation of a relevant phenomenon, helps users make good decisions." In addition, the conceptual framework identifies several enhancing qualitative characteristics that affect the usefulness of relevant and faithfully represented information. These qualitative characteristics and their relationship to the basic objective are depicted in **Exhibit 1A.1** and discussed below.

**EXHIBIT 1A.1 Conceptual Framework**




**Relevance** To be relevant, accounting information must have the ability to make a difference in a decision. Such information may be useful in making predictions about future performance of a company or in providing confirmatory feedback to evaluate past events.

**MATERIALITY** Materiality refers to whether a particular amount is large enough or important enough to affect the judgment of a reasonable decision-maker. In practice, materiality is typically judged by the relative size of an item (e.g., relative to total assets, sales revenues, or net income).

**PREDICTIVE VALUE** Financial information has predictive value if it can be used as an input in the decision processes employed by users to predict future outcomes. The information does not have to be a prediction or forecast itself, but if it can be used by others in making predictions, it has predictive value.

**CONFIRMATORY VALUE** Financial information has confirmatory value if it provides feedback about previous evaluations.

**Faithful Representation** In addition to being relevant, financial information must report the economic events that it purports to report. Financial reports describe where an organization is at a point in time and how it arrived at that location from a previous one. To a traveler, a map would provide a faithful representation if the traveler can use the map to discern his or her actual location.

Information is a perfectly faithful representation if it is ***complete***, ***neutral***, and ***free from error***. The objective stated in the conceptual framework does not expect to achieve such perfection, but the requirement of faithful representation for information provides a measuring stick for standard-setters when considering alternative reporting standards.

**COMPLETENESS** Financial information is complete if it enables the user to understand all the dimensions of an economic phenomenon. Achieving such completeness may require disclosure of additional numerical information (an asset's historical cost and its fair value) or descriptive information (ongoing litigation).

**NEUTRALITY** While lack of bias is desirable in any reporting system, the effects of financial reports on management and investors create significant incentives to report outcomes and to choose disclosures that portray the firm in a favorable light. In choosing accounting standards, standard-setters aspire to reduce the ability of organizations to bias financial reports and to give financial statement users the ability to identify those biases when they occur.

**FREE FROM ERROR** Free from error means there are no errors or omissions in the description of the phenomenon and that the process used to produce the reported information has been selected and applied with no errors in the process. A common misconception about accounting is that it consists solely of a historical record of a firm's economic activities. It is such a record, but it is also dependent on management's forecasts of the future. Financial reports are very dependent on forecasts of the future, and forecasts of the future are almost always wrong (though we hope not by much). In this context, "free from error" means that any estimates are described clearly as such, with an explanation of the estimating process.

## Enhancing Qualitative Characteristics

For financial information that is relevant to investors and faithfully represents an economic phenomenon, the conceptual framework describes several additional qualitative characteristics that—when present—enhance the usefulness of that information.

**Comparability** Accounting information should enable users to identify similarities and differences between sets of economic phenomena. For instance, the financial statements of different companies should be presented in a way that allows users to make comparisons across companies concerning their activities, financial condition, and performance. In addition, the information supplied to decision-makers should exhibit conformity from one reporting period to the next with unchanging policies and procedures. Companies can choose to change accounting methods, and sometimes they are required to do so by standard-setters. However, such changes make it difficult to evaluate financial performance over time. Accounting changes should be rare and supported as the better means of reporting the organization's financial condition and performance.

**Verifiability** Verifiability means that consensus among independent observers could be reached that reported information is a faithful representation. An independent auditor should be able to examine the economic events and transactions underlying the financial statements and reach conclusions that are similar to those of management concerning how these events are measured and reported.

**Timeliness** Financial reporting information must be available to decision-makers before it loses its capacity to influence decisions.

**Understandability** Modern organizations engage in a wide variety of transactions, and this complexity can make it difficult for a general user of the financial statements to assess the amount, timing, and uncertainty of the organization's future cash flows. The conceptual framework endeavors to take into consideration the reporting requirements for "users who have a reasonable knowledge of business and economic activities and who review and analyze the information diligently."

## The Cost Constraint

Financial reporting requirements impose costs on companies. There are the costs of gathering, processing, and verifying the information, as well as the costs of publicly disclosing information to competitors. These costs are ultimately borne by the companies' investors and should be justified by the benefits of the information produced.

## Additional Underlying Basic Assumptions

While not a part of the conceptual framework, four assumptions underlie the preparation of financial statements. Knowing these assumptions is helpful in understanding how the statements are prepared and in interpreting the information reported therein. These assumptions include:

**Separate Economic Entity** For accounting purposes, the activities of a company are considered independent, distinct, and separate from the activities of its stockholders and from other companies.

**Going Concern** Companies are assumed to have continuity in that they can be expected to continue in operation over time. This assumption is essential for valuing assets (future benefits) and liabilities (future obligations).



**Accounting Period** While continuity is assumed, company operations must be reported periodically, normally each fiscal year. Interim reporting periods, such as quarterly or monthly reports, allow companies to supplement the annual financial statements with more timely information.

**Monetary Unit** The unit of measure is the monetary unit of the country in which the firm's accounting reports are issued. The dollar is the monetary unit in the United States.

### YOU MAKE THE CALL

**You are the Bank Loan Officer** Hertz, the rental car firm, has a fleet of relatively new automobiles that it rents to customers for usually short periods. Suppose that Hertz applied to your bank for a loan and offered their fleet of cars as collateral. Would you, as the loan officer, be satisfied with the value shown on Hertz's balance sheet as a measure of the fleet's value? If not, what value would you prefer, and how might you estimate that value? [Answers on page 1-30.]

**Identifying Conceptual Framework Topics** LO1-6 **Review 1-6**

The following topics 1 through 5 are discussed in the context of the FASB's conceptual framework.

1. Objective of financial reporting
2. Qualitative characteristics of useful financial information
3. Enhancing qualitative characteristics
4. Cost constraint
5. Accounting assumptions

**Required**

Listed below are subtopics of the above topics. Match the subtopics *a* through *j* with the topics 1 through 5.

| | | | |
|---|---|---|---|
| *a.* ____ | Completeness | *f.* ____ | Materiality |
| *b.* ____ | Cost effectiveness | *g.* ____ | Predictive value |
| *c.* ____ | Economic entity | *h.* ____ | Provide information to investors and creditors |
| *d.* ____ | Free from error | *i.* ____ | Timeliness |
| *e.* ____ | Going concern | *j.* ____ | Verifiability |

Solution on p. 1-41.

**Summary** *offers key bullet point takeaways for each Learning Objective.*

## SUMMARY

**Identify the users of accounting information, and discuss the costs and benefits of disclosure. (p. 1-3)** LO1-1

- There are many diverse decision-makers who use financial information.
- The benefits of disclosure of credible financial information must exceed the costs of providing the information.

**Describe a company's business activities, and explain how these activities are represented by the accounting equation. (p. 1-7)** LO1-2

- To effectively manage a company or infer whether it is well managed, we must understand its activities as well as the competitive and regulatory environment in which it operates.
- All corporations *plan* business activities, *finance* and *invest* in them, and then engage in *operations*.
- Financing is obtained partly from stockholders and partly from creditors, including suppliers and lenders.
- Investing activities involve the acquisition and disposition of the company's productive resources called assets.
- Operating activities include the production of goods or services that create operating revenues (sales) and expenses (costs). Operating profit (income) arises when operating revenues exceed operating expenses.

**Identify four key financial statements: balance sheet, income statement, statement of stockholders' equity, and statement of cash flows. (p. 1-11)** LO1-3

- Four basic financial statements used to periodically report the company's progress are the balance sheet, the income statement, the statement of stockholders' equity, and the statement of cash flows. These statements articulate with one another.
- The balance sheet reports the company's financial position *at a point* in time. It lists the company's asset, liability, and equity items, and it typically aggregates similar items.

- The income statement reports the firm's operating activities to determine income earned, and thereby the firm's performance *over a period* of time.
- The stockholders' equity statement reports the changes in the key equity accounts *over a period* of time.
- The statement of cash flows reports the cash flows into and out of the firm from its operating, investing, and financing sources *over a period* of time.

**LO1-4 Describe how standardized accounting principles and a regulatory environment are important to financial statement integrity. (p. 1-16)**

- Generally Accepted Accounting Principles (GAAP) are established standards and accepted practices designed to guide the preparation of the financial statements.
- While the Securities and Exchange Commission (SEC) has ultimate authority over financial reporting by companies in the United States, it has ceded the task of setting accounting standards to the accounting profession.
- The Financial Accounting Standards Board (FASB) has the primary responsibility for setting financial accounting standards in the United States.
- The Sarbanes-Oxley Act established the Public Company Accounting Oversight Board (PCAOB) to approve auditing standards and monitor the quality of financial statements and audits.
- International Financial Reporting Standards (IFRS) are set by the International Accounting Standards Board (IASB).
- IFRS are an attempt to achieve a greater degree of commonality in financial reporting across different countries.

**LO1-5 Compute two key ratios that are commonly used to assess profitability and risk—return on equity and the debt-to-equity ratio. (p. 1-21)**

- **Return on equity (ROE)**—a measure of profitability that assesses the performance of the firm relative to the investment made by stockholders (equity financing)
- Return on equity (ROE) is an important profitability metric for stockholders.

$$\text{ROE} = \frac{\text{Net income}}{\text{Average stockholders' equity}}$$

- **Debt-to-equity ratio (D/E)**—a measure of long-term solvency that relates the amount of creditor financing to the amount of equity financing
- The debt-to-equity ratio is an important measure of long-term solvency, a determinant of overall company risk.

$$\text{D/E} = \frac{\text{Total liabilities}}{\text{Total stockholders' equity}}$$

**LO1-6 Appendix 1A: Explain the conceptual framework for financial reporting. (p. 1-25)**

- The conceptual framework includes, among other things, a statement of the *objectives* of financial reporting along with a discussion of the *qualitative characteristics* of accounting information that are important to users.

## GUIDANCE ANSWERS . . . YOU MAKE THE CALL

**You are a Product Manager** There are at least two considerations that must be balanced—namely, the disclosure requirements and your company's need to protect its competitive advantages. You must comply with all minimum required disclosures. The extent to which you offer additional disclosures depends on the sensitivity of the information; that is, how beneficial it is to your existing and potential competitors. Another consideration is how the information disclosed will affect your existing and potential investors. Disclosures such as this can be beneficial in that they convey the positive investments that are available to your company. Still, there are many stakeholders influenced by your decision, and each must be given due consideration.

**You are a Financial Analyst** This question has received a lot of discussion from both sides under the title "Economic Consequences." On one side are those who maintain that accounting rules should not only reflect a rule's economic consequences but be designed to facilitate the attainment of a specific economic goal. One example is the case where the oil industry lobbied for an accounting rule that they and others believed would increase the incentive to explore and develop new oil deposits.

Those on the other side of the argument believe that accounting should try to provide data that is objective, reliable, and free from bias without considering the economic consequences of the decisions to be made. They believe



that accounting rule makers have neither the insight nor the public mandate to attempt forecasts of the economic effects of financial reporting. Decisions that will affect the allocation of resources or that affect society's social structure should be made only by our elected representatives. While there are substantive points on both sides, we believe that it is the job of accounting rule makers to work toward the objective of financial reporting that reflects economic reality, subject to practical measurement limitations.

**You are a Member of the Board of Directors** In order to perform a thorough audit, a company's auditors must gain an intimate knowledge of its operations, its internal controls, and its accounting system. Because of this familiarity, the accounting firm is in a position to provide insights and recommendations that another consulting firm might not be able to provide. However, the independence of the auditor is critical to the credibility of the audit, and there is some concern that the desire to retain a profitable consulting engagement might lead the auditors to tailor their audit opinions to "satisfy the customer." Contrary to this concern, however, research finds that there is no evidence that auditors provide more optimistic audit reports for the companies they consult for. Rather, it appears that litigation and reputation concerns are reasonably effective in keeping auditors honest. Nevertheless, recent legislation in the United States now prohibits auditors from performing consulting services for their audit clients.

**You are the Bank Loan Officer** The value shown on Hertz's books will be the purchase price, though perhaps reduced for the time the fleet has been in use. However, the bank would want to know the current market value of the fleet, not its book value, and the bank would then adjust this market value. The current market value of a single car can be found in used-car market quotes. If the bank ultimately becomes the owner of the fleet, it will need to sell the cars, probably a few at a time through wholesalers. Therefore, the adjusted market value and the book value are likely to differ for several reasons, including:

1. Hertz would have been able to buy the fleet at a reduced value due to buying in large volume regularly (market value lower than used-car quotes).
2. Hertz is likely to have kept the cars in better condition than would the average buyer (market value higher than used-car quotes).
3. The bank would reduce the value by some percentage due to the costs associated with disposing of the fleet (including the wholesaler's discount) and the length of the bank loan (reduction to the value as otherwise determined).

## KEY RATIOS

$$\text{Return on equity (ROE)} = \frac{\text{Net income}}{\text{Average stockholders' equity}} \qquad \text{Debt-to-equity (D/E)} = \frac{\text{Total liabilities}}{\text{Total stockholders' equity}}$$

**Assignments with the MBC logo in the margin are available in myBusinessCourse. See the Preface of the book for details.**

**Multiple Choice** *questions with answers are provided for each chapter.*

## MULTIPLE CHOICE

**1.** Which of the following is a potential cost of the public disclosure of accounting information?
*a.* Loss of competitive advantage caused by revealing information to competitors.
*b.* Potential increased regulation and taxes due to reporting excessive profits in politically sensitive industries.
*c.* Raising and then failing to meet the expectations of investors.
*d.* All of the above are potential costs of disclosure.

**2.** Banks that lend money to corporations are considered
*a.* creditors.
*b.* stockholders.
*c.* both *a* and *b* above.
*d.* neither *a* nor *b* above.

**3.** Which of the following financial statements reports the financial condition of a company at a point in time?
*a.* the balance sheet
*b.* the income statement
*c.* the statement of cash flows
*d.* the statement of stockholders' equity

**4.** Which of the following is *not* one of the four basic financial reports?
*a.* the balance sheet

**Multiple Choice Answers**
1. d 2. a 3. a 4. d 5. b

**Homework** *icons indicate which assignments are available in* **myBusinessCourse** *(MBC). This feature is only available when the instructor incorporates MBC in the course.*

*b.* the income statement
*c.* the statement of stockholders' equity
*d.* the notes to the financial statements

5. Which of the following expressions is a correct statement of the accounting equation?
   *a.* Equity + Assets = Liability
   *b.* Assets – (Liabilities + Equity) = 0
   *c.* Liabilities – Equity = Assets
   *d.* Liabilities + Assets = Equity

**Superscript ^ denotes assignments based on Appendix 1A.**

## QUESTIONS

**Q1-1.** What are the three major business activities of a company that are motivated and shaped by planning activities? Explain each activity.

**Q1-2.** The accounting equation (Assets = Liabilities + Equity) is a fundamental business concept. Explain what this equation reveals about a company's sources and uses of funds and the claims on company resources.

**Q1-3.** Companies prepare four primary financial statements. What are those financial statements, and what information is typically conveyed in each?

**Q1-4.** Does a balance sheet report on a period of time or at a point in time? Also, explain the information conveyed in that report. Does an income statement report on a period of time or at a point in time? Also, explain the information conveyed in that report.

**Q1-5.** Warren Buffett, CEO of Berkshire Hathaway, and known as the "Sage of Omaha" for his investment success, has stated that his firm is not interested in investing in a company whose business model he does not understand through reading its financial statements. Would you agree? Name several information items (3 or 4) reported in financial statements that corporate finance officers would find particularly relevant in considering whether to invest in a firm.

**Q1-6.** Does a statement of cash flows report on a period of time or at a point in time? Also, explain the information and activities conveyed in that report.

**Q1-7.** Explain what is meant by the articulation of financial statements.

**Q1-8.** The trade-off between risk and return is a fundamental business concept. Briefly describe both risk and return and their trade-off. Provide some examples that demonstrate investments of varying risk and the approximate returns that you might expect to earn on those investments.

**Q1-9.** Why might a company voluntarily disclose more information than is required by GAAP?

**Q1-10.** Financial statements are used by several interested stakeholders. Develop a listing of three or more potential external users of financial statements and their applications.

**Q1-11.** What ethical issues might managers face in dealing with confidential information?

**Q1-12.** Return on equity (ROE) is an important summary measure of financial performance. How is it computed? Describe what this metric reveals about company performance.

**Q1-13.** Business decision-makers external to the company increasingly demand more financial information on business activities of companies. Discuss the reasons companies have traditionally opposed the efforts of regulatory agencies like the SEC to require more disclosure.

**Q1-14.** What are generally accepted accounting principles, and what organization presently establishes them?

**Q1-15.** What are International Financial Reporting Standards (IFRS)? Why are IFRS needed? What potential issues can you see with requiring all public companies to prepare financial statements using IFRS?

**Q1-16.** What is the primary function of the auditor? To what does the auditor attest in its opinion?

**Q1-17.^A** What are the objectives of financial accounting? Which of the financial statements satisfies each of these objectives?

**Q1-18.^A** What are the two fundamental qualitative characteristics and the six enhancing qualitative characteristics of accounting information? Explain how each characteristic improves the quality of accounting disclosures.



## DATA ANALYTICS

**DA1-1. Preparing Data Visualizations in Excel Using Doughnut Charts** LO1-1

The Excel file associated with this exercise includes data obtained from the U.S. Bureau of Labor Statistics regarding the employers of (1) accountants and auditors and (2) financial analysts.[7] We will to create a data visualization for each employer group in Excel using a doughnut chart, a form of a pie chart.

REQUIRED

1. Download Excel file DA1-1 found in myBusinessCourse.
2. Create a new row in each dataset for "Other employers."
3. Add the applicable percentage to the new category, "Other employers." *Hint:* When creating a doughnut chart, we are showing proportions of a total. The total of the percentages for each dataset must add up to 100%.
4. Create a doughnut chart for each dataset. *Hint:* Highlight dataset, click on Insert, click on the Pie icon, click Doughnut. Do not include the dataset title when highlighting the dataset.
5. Update the features of your doughnut charts by either choosing one of the chart design templates or updating manually. *Hint:* You can add elements and change the chart style by using the Chart Layouts and Chart Styles tools on the Chart Design tab. The Chart Design tab appears when you click inside a chart.
6. Add percentages to each proportion of the doughnut charts. *Hint:* Right-click on your chart; click on Add data labels. Click on your chart labels to allow editing of color or font size.
7. Calculate the difference between the largest and smallest proportion in the doughnut chart for Dataset A.
8. Calculate the difference between the largest and smallest proportion in the doughnut chart for Dataset B.
9. List any employer categories that overlap between the two occupations.
10. List the formula type associated with the chart. *Hint:* Double-click on the doughnut chart in Dataset A, which will allow the formula to be visible in the formula bar.

**DA1-2. Differentiating Between Different Types of Data Analytics** LO1-5

For CPAs, we commonly consider four types of data analytics: descriptive analytics, diagnostic analytics, predictive analytics, and prescriptive analytics. To understand the differences between these four types, review Appendix B to this text and refer to *The Next Frontier in Data Analytics* by N. Tschakert, J. Kokina, S. Kozlowski, and M. Vasarhelyi in the *Journal of Accountancy* found at https://www.journalofaccountancy.com/issues/2016/aug/data-analytics-skills.html

REQUIRED

For each of the following ten examples, indicate which type of data analytics best applies (descriptive, diagnostic, predictive, or prescriptive).

1. Analyzing the trends of collections over the past three years for a customer and using that information to estimate the customer's collection schedule over the upcoming year.
2. Preparing a horizontal analysis, showing changes in expenses over the prior year.
3. Analyzing a significant change in operating expenses over the prior year by drilling down to specific categories that were over budget, down to specific departments, down to specific time periods.
4. An analysis of inventory turns by product in conjunction with an analysis of web clicks for the related product resulted in a list of products to phase out over the next year.
5. Preparing a forecast of sales by major segment using a regression analysis.
6. The relation of a digital marketing campaign and resulting sales is used to budget sales in the following year given the plan for upcoming digital marketing campaigns.
7. An analysis of the relations between the costs of five recent digital marketing campaigns and resulting sales was used to recommend digital marking campaigns to pursue in the future.
8. Preparing monthly unaudited financial statements by department.
9. Examining trends in gross margin at a product level to understand the cause of a drop in overall gross margin.
10. Preparing a data visualization showing how many of the company's current customers are self-employed.

[7] Bureau of Labor Statistics, U.S. Department of Labor, Occupational Outlook Handbook, Accountants and Auditors, at https://www.bls.gov/ooh/business-and-financial/accountants-and-auditors.htm (visited August 18, 2021).

LO1-4 **DA1-3. Preparing Executive Compensation Visualizations with Tableau: Part I, Part II, Part III**
Refer to PB-17, PB-18, and PB-19 in Appendix B. This three-part problem uses Tableau to analyze compensation of chief executive officers and chief financial officers of S&P 500 companies.

## DATA VISUALIZATION

Data Visualization

**Data Visualization Activities** are available in myBusinessCourse. These assignments use Tableau Dashboards to expose students to visual depictions of data and introduce students to data analytics through data visualizations. These exercises are easily assignable and auto graded by MBC.

## MINI EXERCISES

LO1-2 **M1-19. Financing and Investing Relations, and Financing Sources**
Total assets of Macy's, Inc. equal $21,172 million, and its equity is $6,377 million. What is the amount of its liabilities? Does Macy's receive more financing from its owners or nonowners, and what percentage of financing is provided by its owners?

Macy's, Inc. NYSE :: M

LO1-2 **M1-20. Financing and Investing Relations, and Financing Sources**
Total assets of The Coca-Cola Company equal $86,381 million, and its liabilities equal $65,283 million. What is the amount of its equity? Does Coke receive more financing from its owners or nonowners, and what percentage of financing is provided by its owners?

Coca-Cola Company NYSE :: KO

LO1-2 **M1-21. Applying the Accounting Equation and Computing Financing Proportions**
Use the accounting equation to compute the missing financial amounts (a), (b), and (c). Which of these companies is more owner-financed? Which of these companies is more nonowner-financed?

Hewlett-Packard NYSE :: HPE
General Mills NYSE :: GIS
Harley-Davidson NYSE :: HOG

| ($ millions) | Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|---|
| Hewlett-Packard Enterprise Company | $54,015.0 | | $37,919.0 | | $ (a) |
| General Mills | 30,806.7 | | (b) | | 8,894.1 |
| Harley-Davidson | (c) | | 8,724.2 | | 1,804.0 |

LO1-3 **M1-22. Identifying Key Numbers from Financial Statements**
Access the most recent 10-K for Apple Inc., at the SEC's EDGAR database for financial reports (www.sec.gov). What are Apple's dollar amounts for assets, liabilities, and equity at September 26, 2020? Confirm that the accounting equation holds in this case. What percent of Apple's assets is financed from creditor financing sources?

Apple Inc. NASDAQ :: AAPL

LO1-3 **M1-23. Verifying Articulation of Financial Statements**
Access the 10-K for Nike for the fiscal year ended May 31, 2019, at the SEC's EDGAR database of financial reports (www.sec.gov). Using its consolidated statement of stockholders' equity, prepare a table similar to **Exhibit 1.9** showing the articulation of its retained (reinvested) earnings for the year ended May 31, 2019. Was Nike more or less profitable in the fiscal year ended May 31, 2020, compared to the fiscal year ended May 31, 2019?

Nike NYSE :: NKE

*Ticker symbols are provided for companies so one can easily obtain additional information.*

LO1-3 **M1-24. Identifying Financial Statement Line Items and Accounts**
Several line items and account titles are listed below. For each, indicate in which of the following financial statement(s) you would likely find the item or account: income statement (IS), balance sheet (BS), statement of stockholders' equity (SE), or statement of cash flows (SCF).

*a.* Cash asset
*b.* Expenses
*c.* Noncash assets
*d.* Contributed capital
*e.* Cash outflow for land
*f.* Retained earnings
*g.* Cash inflow for stock issued
*h.* Cash outflow for dividends
*i.* Net income

LO1-1 **M1-25. Ethical Issues and Accounting Choices**
Assume that you are a technology services provider and you must decide whether to record revenue from the installation of computer software for one of your clients. Your contract calls for acceptance of the software by the client within six months of installation before payment is due. Although you have not yet received formal acceptance, you are confident that it is forthcoming. Failure to record these revenues will cause your company to miss Wall Street's earnings estimates. What stakeholders will be affected by your decision, and how might they be affected?



**M1-26. Internal Controls and Their Importance** LO1-4
The Sarbanes-Oxley legislation requires companies to report on the effectiveness of their internal controls. What are internal controls and their purpose? Why do you think Congress felt it to be such an important area to monitor and report?

*LOs link assignments to the Learning Objectives of each chapter.*

## EXERCISES

**E1-27. Applying the Accounting Equation and Assessing Financing Contributions** LO1-2
Determine the missing amount from each of the separate situations (a), (b), and (c) below. Which of these companies is more owner-financed? Which of these companies is more creditor-financed?

Motorola Solutions NYSE :: MSI
Kraft Foods NASDAQ :: KHC
Merck & Co. NYSE :: MRK

| ($ millions) | Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|---|
| *a.* Motorola Solutions, Inc. | $10,642 | | $ ? | | $ (683) |
| *b.* The Kraft Heinz Company | ? | | 49,701 | | 51,749 |
| *c.* Merck & Co., Inc. | 84,397 | | 58,396 | | ? |

**E1-28. Financial Information Users and Uses** LO1-1
Financial statements have a wide audience of interested stakeholders. Identify two or more financial statement users that are external to the company. Specify two questions for each user identified that could be addressed or aided by use of financial statements.

**E1-29. Applying the Accounting Equation and Financial Statement Articulation** LO1-2, 3
Answer the following questions. (*Hint*: Apply the accounting equation.)

Intel NASDAQ :: INTC
JetBlue Airways NASDAQ :: JBLU
Walt Disney Company NYSE :: DIS

*a.* Intel Corporation had assets equal to $153,091 million and liabilities equal to $72,053 million for a recent year-end. What was the total equity for Intel's business at year-end?
*b.* At the beginning of a recent year, JetBlue Airways Corporation's assets were $10,959 million, and its equity was $4,685 million. During the year, assets increased $959 million, and liabilities increased $845 million. What was its equity at the end of the year?
*c.* At the beginning of a recent year, The Walt Disney Company's liabilities equaled $91,132 million. During the year, assets increased by $7,565 million, and year-end assets equaled $201,549 million. Liabilities increased $12,905 million during the year. What were its beginning and ending amounts for equity?

**E1-30. Financial Statement Relations to Compute Dividends** LO1-3
Colgate-Palmolive Company reports the following balances in its retained earnings.

Colgate-Palmolive NYSE :: CL

| ($ millions) | 2019 | 2018 |
|---|---|---|
| Retained earnings | $22,501 | $21,615 |

During 2019, Colgate-Palmolive reported net income of $2,367 million.

*a.* Assume that the only changes affecting retained earnings were net income and dividends. What amount of dividends did Colgate-Palmolive pay to its shareholders in 2019?
*b.* This dividend amount constituted what percent of its net income?

**E1-31. Calculating Gross Profit and Preparing an Income Statement** LO1-3
In 2019, Colgate-Palmolive Company reported sales revenue of $15,693 million and cost of goods sold of $6,368 million. Its net income was $2,527 million. Calculate gross profit and prepare an income statement using the format illustrated in **Exhibit 1.8**.

Colgate-Palmolive NYSE :: CL

**E1-32. Applying the Accounting Equation and Calculating Return on Equity and Debt-to-Equity Ratio** LO1-2, 5
At the end of 2019, Alphabet, Inc., reported stockholders' equity of $201,442 million and total assets of $275,909 million. Its balance in stockholders' equity at the end of 2018 was $177,628 million. Net income in 2019 was $34,343 million.

Alphabet, Inc. NASDAQ :: GOOG

*a.* Calculate the return on equity ratio for Alphabet, Inc. for 2019.
*b.* Calculate its debt-to-equity ratio as of December 31, 2019. (*Hint:* Apply the accounting equation to determine total liabilities.)

**E1-33. Applying the Accounting Equation and Computing Return on Equity and Debt-to-Equity Ratio** LO1-2, 5
At the end of 2019, Daimler AG, reported stockholders' equity of €62,841 million and total assets of €302,438 million. Its stockholders' equity at the end of 2018 was €66,053 million. Net income in 2019 was €2,709 million.

Daimler AG OTC :: DDAIF

*a.* Calculate Daimler's return on equity ratio for 2019.
*b.* Calculate Daimler's debt-to-equity ratio as of December 31, 2019.

**LO1-1, 4** **E1-34. Accounting in Society**
Financial accounting plays an important role in modern society and business.

*a.* What role does financial accounting play in the allocation of society's financial resources?
*b.* What are three aspects of the accounting environment that can create ethical pressure on management?

**LO1-6** **E1-35.[A] Basic Assumptions, Principles, and Terminology in the Conceptual Framework**
Match each item in the left column with the correct description in the right column.

| | |
|---|---|
| ___ 1. Relevance | *a.* Refers to whether or not a particular amount is large enough to affect a decision. |
| ___ 2. Verifiability | *b.* The activities of a business are considered to be independent and distinct from those of its owners or from other companies. |
| ___ 3. Going concern | *c.* Accounting information should enable users to identify similarities and differences between sets of economic phenomena. |
| ___ 4. Materiality | *d.* Financial reporting information must be available to decision-makers before it loses its capacity to influence decisions. |
| ___ 5. Monetary unit | *e.* Information is useful if it has the ability to influence decisions. |
| ___ 6. Representational faithfulness | *f.* Consensus among measures ensures that the information is free of error. |
| ___ 7. Accounting period | *g.* Accounting information should reflect the underlying economic events that it purports to measure. |
| ___ 8. Comparability | *h.* The financial reports are presented in one consistent monetary unit, such as U.S. dollars. |
| ___ 9. Timeliness | *i.* A business is expected to have continuity in that it is expected to continue to operate indefinitely. |
| ___ 10. Economic entity | *j.* The life of a business can be divided into discrete accounting periods such as a year or quarter. |

## PROBLEMS

**LO1-2, 5** **P1-36. Applying the Accounting Equation and Calculating Ratios**
Procter & Gamble
NYSE :: PG

The following table contains financial statement information for **The Procter & Gamble Company** ($ millions) for the fiscal years ended in June of each year:

| Year | Assets | Liabilities | Equity | Net Income |
|---|---|---|---|---|
| 2018 | $118,310 | $65,427 | $ ? | $ 9,861 |
| 2019 | ? | 67,516 | 47,579 | 3,966 |
| 2020 | 120,700 | ? | 46,878 | 13,103 |

REQUIRED
*a.* Compute the missing amounts for assets, liabilities, and equity for each year.
*b.* Compute return on equity for 2019 and 2020. Let's assume that the median ROE for Fortune 500 companies is about 15%. How does P&G compare with this median?
*c.* Compute the debt-to-equity ratio for 2019 and 2020. Let's assume that the median debt-to-equity ratio for the Fortune 500 companies is 1.8. How does P&G compare to this median?

**LO1-2, 3** **P1-37. Formulating Financial Statements from Raw Data**
General Mills
NYSE :: GIS

Following is selected financial information from **General Mills, Inc.**, for its fiscal year ended May 31, 2020 ($ millions).

| | |
|---|---|
| Cash and cash equivalents, end of year | $ 1,677.8 |
| Net cash from operations | 3,676.2 |
| Net sales | 17,626.6 |
| Stockholders' equity, end of year | 8,894.1 |
| Cost of goods sold | 11,496.7 |
| Net cash from financing | (1,941.5) |
| Total liabilities, end of year | 21,912.6 |
| Other expenses, including income taxes | 3,919.1 |
| Noncash assets, end of year | 29,128.9 |
| Net cash from investing | (486.2) |
| Net income | 2,210.8 |
| Effect of exchange rate changes on cash | (20.7) |
| Cash and cash equivalents, beginning of year | 450.0 |



REQUIRED
*a.* Prepare an income statement, balance sheet, and statement of cash flows for General Mills, Inc.
*b.* What portion of the financing is contributed by owners?

**P1-38. Formulating Financial Statements from Raw Data** **LO1-2, 3**
Abercrombie & Fitch
NYSE :: ANF

Following is selected financial information from **Abercrombie & Fitch** for its fiscal year ended February 1, 2020 ($ millions).

| | |
|---|---|
| Cash asset, end of year | $ 692.2 |
| Cash flows from operations | 300.7 |
| Net sales | 3,623.1 |
| Stockholders' equity, end of year | 1,071.2 |
| Cost of goods sold | 1,472.2 |
| Cash flows from financing | (147.9) |
| Total liabilities, end of year | 2,478.5 |
| Other expenses, including income taxes | 2,105.9 |
| Noncash assets, end of year | 2,857.5 |
| Cash flows from investing | (202.8) |
| Net income | 45.0 |
| Effect of exchange rate changes on cash | (3.6) |
| Cash asset, beginning of year | 745.8 |

REQUIRED
*a.* Prepare an income statement, balance sheet, and statement of cash flows for Abercrombie & Fitch.
*b.* Determine the owner and creditor financing levels.

**P1-39. Preparing Comparative Financial Statements from Raw Data** **LO1-3**
Tilly's, Inc.
NYSE :: TLYS

Following is selected financial information for **Tilly's, Inc.**

| ($ thousands) | Feb. 1, 2020 | Feb. 2, 2019 |
|---|---|---|
| Cash and cash equivalents | $ 70,137 | $ 68,160 |
| Cash flow from operations | 36,434 | 46,743 |
| Cost of goods sold | 432,592 | 417,582 |
| Total liabilities | 386,739 | 129,841 |
| Total assets | 546,640 | 293,168 |
| Cash flow from financing | (27,948) | (25,526) |
| Sales revenue | 619,300 | 598,478 |
| Cash flow from investing | (6,509) | (6,259) |
| Other expenses, including income taxes | 164,086 | 155,953 |

REQUIRED
Prepare balance sheets, income statements, and statements of cash flows for the years ended February 1, 2020 and February 2, 2019.

**P1-40. Preparing Comparative Financial Statements from Raw Data** **LO1-3**
Tesla, Inc.
NASDAQ :: TSLA

Following is selected financial information for **Tesla, Inc.**

| ($ millions) | Dec. 31, 2019 | Dec. 31, 2018 |
|---|---|---|
| Cash asset | $ 6,783 | $ 4,277 |
| Cash flow from operations | 2,405 | 2,098 |
| Cost of goods sold | 20,509 | 17,419 |
| Total liabilities | 26,199 | 23,427 |
| Total assets | 34,309 | 29,740 |
| Cash flow from financing | 1,529 | 574 |
| Sales revenue | 24,578 | 21,461 |
| Cash flow from investing | (1,436) | (2,337) |
| Other expenses, including income taxes | 4,844 | 5,105 |
| Effect of exchange rate changes on cash | 8 | (23) |

REQUIRED
Prepare balance sheets, income statements, and statements of cash flows for the years ended December 31, 2019 and 2018.

**P1-41. Formulating a Statement of Stockholders' Equity from Raw Data** **LO1-3**
Crocker Corporation began calendar-year 2022 with stockholders' equity of $50,000, consisting of contributed capital of $35,000 and retained earnings of $15,000. During 2022, it issued additional stock for total cash proceeds of $15,000. It also reported $25,000 of net income, of which $12,500 was paid as a cash dividend to shareholders.

REQUIRED
Prepare the December 31, 2022, statement of stockholders' equity for Crocker Corporation.

LO1-3 **P1-42. Formulating a Statement of Stockholders' Equity from Raw Data**
DP Systems, Inc., reports the following selected information at December 31, 2022 ($ millions):

| | |
|---|---|
| Contributed capital, December 31, 2021 and 2022 | $ 770 |
| Retained earnings, December 31, 2021 | 3,412 |
| Cash dividends, 2022 | 393 |
| Net income, 2022 | 1,203 |

REQUIRED
Use this information to prepare its statement of stockholders' equity for 2022.

LO1-2, 3, 5 **P1-43. Analyzing and Interpreting Return on Equity**
Nokia
NYSE :: NOK
Nokia Corp. manufactures, markets, and sells phones and other electronics. Stockholders' equity for Nokia was €15,401 million in 2019 and €15,371 million in 2018. In 2019, Nokia reported net income of €11 million on sales of €23,315 million.

REQUIRED
*a.* What was Nokia's return on equity for 2019?
*b.* Nokia's total assets were €39,128 million at the end of 2019. Compute its debt-to-equity ratio.
*c.* What were total expenses for Nokia in 2019?

LO1-3, 5 **P1-44. Presenting an Income Statement and Computing Key Ratios**
Best Buy
NYSE :: BBY
Best Buy Co., Inc., reported the following amounts in its February 1, 2020, and February 2, 2019, financial statements.

| ($ millions) | 2020 | 2019 |
|---|---|---|
| Sales revenue | $43,638 | $42,879 |
| Cost of sales | 33,590 | 32,918 |
| Net income (loss) | 1,541 | 1,464 |
| Total assets | 15,591 | 12,901 |
| Stockholders' equity | 3,479 | 3,306 |

REQUIRED
*a.* Prepare an income statement for Best Buy for the year ended February 1, 2020, using the format illustrated in **Exhibit 1.8**.
*b.* Calculate Best Buy's return on equity for the year ended February 1, 2020.
*c.* Compute Best Buy's debt-to-equity ratio as of February 1, 2020.

LO1-3, 5 **P1-45. Preparing Income Statements and Computing Key Ratios**
Facebook, Inc.
NASDAQ :: FB
Facebook, Inc. reported the following amounts in its 2019 and 2018 financial statements.

| ($ millions) | Dec. 31, 2019 | Dec. 31, 2018 |
|---|---|---|
| Total assets | $133,376 | $97,334 |
| Total liabilities | 32,322 | 13,207 |
| Retained earnings | 55,692 | 41,981 |
| Revenue | 70,697 | 55,838 |
| Operating expenses | 46,711 | 30,925 |
| Other expenses, including income taxes | 5,501 | 2,801 |

REQUIRED
*a.* Prepare income statements for Facebook for 2019 and 2018. Use the format illustrated in **Exhibit 1.8**.
*b.* Compute Facebook's return on equity ratio for 2019 and 2018. Facebook's stockholders' equity at the end of 2017 was $74,347 million.
*c.* Compute Facebook's debt-to-equity ratio for 2019 and 2018.

## CASES AND PROJECTS

LO1-3, 5 **C1-46. Preparing Comparative Income Statements and Computing Key Ratios**
Starbucks Corporation
NASDAQ :: SBUX
Starbucks Corporation reported the following data in its 2020 and 2019 10-K reports.



| ($ millions) | Sept. 27, 2020 | Sept. 29, 2019 |
|---|---|---|
| Total assets | $29,374.5 | $19,219.6 |
| Total liabilities | 37,173.9 | 25,450.6 |
| Sales revenue | 23,518.0 | 26,508.6 |
| Operating expenses | 21,956.3 | 22,430.7 |
| Other expenses, including income taxes | 637.0 | 483.3 |

REQUIRED
*a.* Prepare income statements for Starbucks for the years ended September 27, 2020, and September 29, 2019. Use the format illustrated in **Exhibit 1.8**.
*b.* Compute Starbucks's return on equity ratio for 2020 and 2019. Starbucks stockholders' equity at September 30, 2018, was $1,175.8 million.
*c.* Compute Starbucks's debt-to-equity ratio for 2020 and 2019.
*d.* Assume that in 2019, Starbucks reported a lawsuit was in process where plaintiffs allege that Starbucks did not inform customers about the chemical acrylamide in their products (as required by California law). Starbucks did not record a liability (and expense), stating that the loss was possible but not probable. What would Starbucks's ROE have been if it had accrued a $2,000 million litigation liability (and expense)? What effect did this one-time charge have on the company's return on equity ratio? (*Hint:* Compute the ratio and include the litigation charge in other expenses, reduce stockholders' equity, and compare to the ratio computed in*b*.) Ignore tax effects.
*e.* Assume Starbucks disclosed information about the pending litigation in the disclosure notes to its 2018 financial statements (before the case was settled). Discuss the costs and benefits of disclosing this information in its 2018 annual report.

**C1-47. Computing and Interpreting Key Ratios and Formulating an Income Statement** LO1-2, 3, 5
The Gap
NYSE :: GPS
Nordstrom
NYSE :: JWN
Data from the financial statements of The Gap, Inc., and Nordstrom, Inc., are presented below.

| ($ millions) | The Gap | Nordstrom |
|---|---|---|
| Stockholders' equity, 2019 | $ 3,316 | $ 979 |
| Stockholders' equity, 2018 | 3,553 | 873 |
| Total assets, 2019 | 13,679 | 9,737 |
| Total assets, 2018 | 8,049 | 7,886 |
| Revenue, 2019 | 16,383 | 15,524 |
| Cost of goods sold, 2019 | 10,250 | 9,932 |
| Net income, 2019 | 351 | 496 |

REQUIRED
*a.* Compute the return on equity ratio for The Gap and Nordstrom for 2019. Which company earned the higher return for its shareholders?
*b.* Compute the debt-to-equity ratio for each company as of 2019. Which company relies more on creditor financing?
*c.* Prepare a 2019 income statement for each company using the format in **Exhibit 1.8**. For each firm, compute gross profit as a percentage of sales revenue.
*d.* Based on your answers to questions *a*, *b*, and *c*, compare these two retail companies. What might be the cause of any differences in the ratios that you computed?

**C1-48. Computing and Interpreting Key Ratios** LO1-5
JetBlue Airways
NASDAQ :: JBLU
Southwest Airlines
NYSE :: LUV
Data from the financial statements of JetBlue Airways and Southwest Airlines are presented below.

| ($ millions) | JetBlue Airways | Southwest Airlines |
|---|---|---|
| Total liabilities, 2019 | $ 7,119 | $16,063 |
| Total liabilities, 2018 | 6,274 | 16,390 |
| Total assets, 2019 | 11,918 | 25,895 |
| Total assets, 2018 | 10,959 | 26,243 |
| Revenue, 2019 | 8,094 | 22,428 |
| Net income, 2019 | 569 | 2,300 |

REQUIRED
*a.* Compute the return on equity ratio for JetBlue and Southwest for 2019. Which company earned the higher return for its shareholders?

*b.* Compute the debt-to-equity ratio for each company as of December 31, 2019. Which company relies more on creditor financing?

*c.* For each firm, compute net income as a percentage of revenue in 2019.

*d.* Based on your answers to questions *a*, *b*, and *c*, compare these two competitors. What might be the cause of any differences in the ratios that you computed?

**LO1-1, 3, 5 C1-49. Interpreting Financial Statement Information**

Paula Seale is negotiating the purchase of an extermination firm called Total Pest Control. Seale has been employed by a national pest control service and knows the technical side of the business. However, she knows little about accounting data and financial statements. The sole owner of the firm, Meg Krey, has provided Seale with income statements for the past three years, which show an average net income of $86,400 per year. The latest balance sheet shows total assets of $342,000 and liabilities of $54,000. Seale brings the following matters to your attention and requests advice.

1. Krey is asking $360,000 for the firm. She has told Seale that because the firm has been earning 30% on its investment, the price should be higher than the net assets on the balance sheet. (Net assets equal total assets minus total liabilities.)
2. Seale has noticed no salary for Krey on the income statements, even though she worked half-time in the business. Krey explained that because she had other income, the firm only paid $21,600 in cash dividends to Krey (the sole shareholder). If she purchases the firm, Seale will hire a full-time manager for the firm at an annual salary of $43,200.
3. Krey's tax returns for the past three years report a lower net income for the firm than the amounts shown in the financial statements. Seale is skeptical about the accounting principles used in preparing the financial statements.

REQUIRED

*a.* How did Krey arrive at the 30% return figure in point 1? If Seale accepts Krey's average annual net income figure of $86,400, what would Seale's percentage return be, assuming that the net income remained at the same level and that the firm was purchased for $360,000?

*b.* Should the dividend to Krey affect the net income reported in the financial statements? What will Seale's percentage return be if she takes into consideration the $43,200 salary she plans to pay a full-time manager?

*c.* Could there be legitimate reasons for the difference between net income shown in the financial statements and net income reported on the tax returns, as mentioned in point 3? How might Seale obtain additional assurance about the propriety of the financial statements?

**LO1-1, 4 C1-50. Management, Auditing, and Ethical Behavior**

Jackie Hardy, CPA, has a brother, Ted, in the retail clothing business. Ted ran the business as its sole owner for 10 years. During this 10-year period, Jackie helped Ted with various accounting matters. For example, Jackie designed the accounting system for the company, prepared Ted's personal income tax returns (which included financial data about the clothing business), and recommended various cost control procedures. Ted paid Jackie for all these services. A year ago, Ted markedly expanded the business; Ted is president of the corporation and chairs the corporation's board of directors. The board of directors has overall responsibility for corporate affairs. When the corporation was formed, Ted asked Jackie to serve on its board of directors. Jackie accepted. In addition, Jackie now prepares the corporation's income tax returns and continues to advise her brother on accounting matters.

Recently, the corporation applied for a large bank loan. The bank wants audited financial statements for the corporation before it will decide on the loan request. Ted asked Jackie to perform the audit. Jackie replied that she cannot do the audit because the code of ethics for CPAs requires that she be independent when providing audit services.

REQUIRED

*a.* Why is it important that a CPA be independent when providing audit services?

*b.* Which of Jackie's activities or relationships impair her independence?

## SOLUTIONS TO REVIEW PROBLEMS

### Review 1-1

1. c 2. b 3. f 4. c 5. a 6. d



### Review 1-2

| ($ millions) | Assets | Liabilities | Equity | % of Financing Provided by Owners | % of Financing Provided by Creditors |
|---|---|---|---|---|---|
| 2019 | $64,532 | $49,174 | $15,358 | 24% | 76% |
| 2018 | $60,266 | $46,579 | $13,687 | 23% | 77% |
| 2017 | $53,671 | $41,141 | $12,530 | 23% | 77% |

### Review 1-3

**ADIDAS**
**Balance Sheet (€ millions)**
**December 31, 2019**

| | | | |
|---|---|---|---|
| Cash and cash equivalents | € 2,220 | Total liabilities | €13,622 |
| Noncash assets | 18,460 | Stockholders' equity | 7,058 |
| Total assets | €20,680 | Total liabilities and stockholders' equity | €20,680 |

**ADIDAS**
**Income Statement (€ millions)**
**For Year Ended December 31, 2019**

| | |
|---|---|
| Sales revenue | €23,640 |
| Cost of goods sold | 11,347 |
| Gross profit | 12,293 |
| Other expenses | 10,316 |
| Net income (loss) | € 1,977 |

**ADIDAS**
**Statement of Cash Flows (€ millions)**
**For Year Ended December 31, 2019**

| | |
|---|---|
| Cash flow from operations | €2,819 |
| Cash flow from investing | (925) |
| Cash flow from financing | (2,273) |
| Effect of exchange rates on cash | (30) |
| Net increase (decrease) in cash | (409) |
| Cash, beginning of year | 2,629 |
| Cash, end of year | €2,220 |

*b.* Adidas reported revenues of €23,640 million (which is approximately equivalent to $26,477 million) compared to Nike's $37,403 million. Adidas reported net income of €1,977 million ($2,214 million) compared to Nike's $2,539 million. Adidas's operations produced cash flow of €2,819 million ($3,157 million), while Nike's cash flow from operations was $2,485 million. Hence, based on revenues, Nike is a larger company indicated by its substantially larger sales revenue. Its total assets of $31,342 million are also greater than Adidas' total assets of €20,680 million (or $23,162 million). Nike's operating cash flows and income are also larger than those of Adidas.

### Review 1-4

1. GAAP 2. SEC 3. FASB 4. PCAOB 5. Management 6. Auditor 7. Internal controls

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## Review 1-5

*a.* ROE = $\frac{€1,977}{[(€6,364 + €7,058)/2]}$ = 0.295 or 29.5%

*b.* Debt-to-equity = $\frac{€13,622}{€7,058}$ = 1.93

*c.* One additional benefit to using ratios to analyze financial information is that ratios can be computed for amounts denominated in any currency. Thus, we can compare Adidas and Nike without translating euros into dollars. Adidas's ROE of 29.5% is almost identical to Nike's of 29.7%. This means that both companies earned a very similar return for their stockholders in 2019.

Adidas's debt-to-equity ratio is 1.93 compared to Nike's 2.89. This means that Nike relies more on debt financing, but again the companies are quite similar. A similar debt-to-equity ratio indicates a similar level of risk associated with an investment in either company.

## Review 1-6

*a.* 2 *b.* 4 *c.* 5 *d.* 2 *e.* 5 *f.* 2 *g.* 2 *h.* 1 *i.* 3 *j.* 3